

DINO POLSKA S.A. GROUP

CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2018

PREPARED ACCORDING TO INTERNATIONAL FINANCIAL REPORTING STANDARDS

APPROVED FOR APPLICATION IN THE EU

ALONG WITH THE INDEPENDENT STATUTORY AUDITOR'S AUDIT REPORT

Krotoszyn, 14 March 2019

Unofficial translation. Only the original Polish text is binding.

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CONSOLIDATED STATEMENT OF PROFIT OR LOSS**for the year ended 31 December 2018**

	Note	1 January 2018 – 31 December 2018	1 January 2017 – 31 December 2017*
Continuing operations			
Sales revenues	10	5,838,529	4,462,835
Cost of sales	11.2	(4,426,060)	(3,422,199)
Gross profit on sales		1,412,469	1,040,636
Other operating income	11.5	5,366	3,671
Sales and marketing expenses	11.2	(933,663)	(678,687)
General administration expenses	11.2	(52,635)	(60,025)
Other operating expenses	11.6	(2,535)	(2,353)
Operating profit		429,002	303,242
Financial income	11.7	347	655
Financial expenses	11.8	(45,371)	(37,881)
Profit before tax		383,978	266,016
Income tax	12	(76,424)	(52,412)
Net profit from continuing operations		307,554	213,604
Net profit for the financial year		307,554	213,604
Profit attributable:			
To owners of the parent		307,554	213,604
Earnings per share:			
– basic from profit for the year attributable to owners of the parent		3.14	2.18
– basic from profit from continuing operations for the year attributable to owners of the parent		3.14	2.18
– diluted from profit for the year attributable to owners of the parent		3.14	2.18
– diluted from profit from continuing operations for the year attributable to owners of the parent		3.14	2.18

* data restated (Note 7)

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

for the year ended 31 December 2018

	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
Net profit for the financial year	307,554	213,604
<i>Items not subject to reclassification to profit in subsequent reporting periods:</i>		
Actuarial gains/(losses) on defined benefit plans	(215)	(107)
Income tax on other comprehensive income	41	20
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	(174)	(87)
Net other comprehensive income	(174)	(87)
Comprehensive income for the year	307,380	213,517
Comprehensive income attributable:		
To owners of the parent	307,380	213,517
Non-controlling shareholders	-	-
	307,380	213,517

* data restated (Note 7)

CONSOLIDATED STATEMENT OF FINANCIAL POSITION**as at 31 December 2018**

	Note	31 December 2018	31 December 2017
ASSETS			
Property, plant and equipment	16	2,347,025	1,697,600
Intangible assets	18	95,024	92,774
Other non-financial assets (non-current)	19	22	30
Deferred tax assets	12.3	16,307	17,560
Total non-current assets		2,458,378	1,807,964
Inventories	20	445,357	368,262
Trade and other receivables	21	22,111	37,991
Income tax receivables		-	77
Other non-financial assets	19	76,483	34,409
Cash and cash equivalents	22	285,361	202,626
Total current assets		829,312	643,365
TOTAL ASSETS		3,287,690	2,451,329
EQUITY AND LIABILITIES			
Equity (attributable to owners of the parent)		1,211,873	904,493
Share capital	23.1	9,804	9,804
Supplementary capital		1,307,273	1,111,860
Retained earnings		(112,704)	(224,671)
Other equity		7,500	7,500
Non-controlling interests		-	-
Total equity		1,211,873	904,493
Interest-bearing loans and borrowings and finance lease liabilities	25	585,328	470,590
Other financial liabilities	25	99,829	99,749
Other liabilities	27.2	240	270
Provisions for employee benefits	26	1,550	1,231
Deferred tax liability	12.3	5,923	3,495
Accruals and deferred revenue	27.3	306	548
Total non-current liabilities		693,176	575,883
Trade and other payables	27.1	1,141,934	811,322
Current part of interest-bearing loans and borrowings and finance lease liabilities	25	148,676	117,074
Other financial liabilities	25	654	654
Income tax liabilities	27.2	67,004	20,729
Accruals and deferred revenue	27.3	23,832	20,824
Provisions for employee benefits	26	541	350
Total current liabilities		1,382,641	970,953
Total liabilities		2,075,817	1,546,836
TOTAL EQUITY AND LIABILITIES		3,287,690	2,451,329

CONSOLIDATED STATEMENT OF CASH FLOWS**for the year ended 31 December 2018**

	Note	1 January 2018 – 31 December 2018	1 January 2017 – 31 December 2017
Cash flow from operating activities			
Profit before tax		383,978	266,016
Adjustments in items:		250,477	231,188
Depreciation and amortization	11.2	112,058	85,872
(Profit)/loss on investment activity		1,375	1,322
Movement in receivables	28	(25,726)	(16,771)
Movement in inventories		(77,095)	(91,721)
Movement in liabilities, except for loans and borrowings	28	218,964	239,676
Interest revenue		(347)	(496)
Interest expense		45,386	38,090
Movement in prepayments, accruals and deferred revenue		1,918	7,339
Movement in provisions	28	510	(5,426)
Income tax paid		(26,351)	(34,090)
Other		(215)	7,393
Net cash from operating activities		634,455	497,204
Cash flow from investing activities			
Sale of items of property, plant and equipment and intangible assets		1,566	7,977
Purchase of items of property, plant and equipment and intangible assets		(635,931)	(410,616)
Interest received		347	496
Net cash from investing activities		(634,018)	(402,143)
Cash flow from financing activities			
Payment of finance lease liabilities		(46,436)	(51,942)
Proceeds from obtained loans/borrowings		373,927	117,341
Repayment of loans/borrowings		(199,807)	(86,828)
Issue of debt securities		-	100,000
Interest paid		(45,386)	(37,434)
Net cash from financing activities		82,298	41,137
Net increase in cash and cash equivalents		82,735	136,198
Cash at the beginning of the period		202,626	66,428
Cash at the end of the period	22	285,361	202,626

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2018

Note	Attributable to owners of the parent				Total
	Share capital	Supplementary capital	Retained earnings	Other equity	
As at 1 January 2018	9,804	1,111,860	(224,671)	7,500	904,493
Net profit for 2018	-	-	307,554	-	307,554
Net other comprehensive income for 2018	-	-	(174)	-	(174)
<i>Comprehensive income for the year</i>	-	-	<i>307,380</i>	-	<i>307,380</i>
Costs of share-based incentive system	-	-	-	-	-
Distribution of the financial result for 2017	-	195,413	(195,413)	-	-
As at 31 December 2018	23 9,804	1,307,273	(112,704)	7,500	1,211,873
As at 1 January 2017	9,804	510,720	162,952	-	683,476
Net profit for 2017	-	-	213,604	-	213,604
Net other comprehensive income for 2017	-	-	(87)	-	(87)
<i>Comprehensive income for the year</i>	-	-	<i>213,517</i>	-	<i>213,517</i>
Costs of share-based incentive system	-	-	-	7,500	7,500
Distribution of the financial result for 2016	-	601,140	(601,140)	-	-
As at 31 December 2017	23 9,804	1,111,860	(224,671)	7,500	904,493

ACCOUNTING PRINCIPLES (POLICIES) AND NOTES

1. General information

The DINO Polska S.A. Group (“Group”) consists of DINO Polska S.A. (“parent company”, “Company”) and its subsidiaries (see Note 2). The Group’s consolidated financial statements cover the year ended 31 December 2018 along with comparable data.

The Company was established by a Notary Deed of 9 November 2007 under the name of DINO Polska spółka z ograniczoną odpowiedzialnością. On 21 December 2011, the Shareholder Meeting of DINO Polska spółka z ograniczoną odpowiedzialnością adopted a resolution to transform the Company into Dino Polska S.A.

The parent company is entered in the register of commercial undertakings of the National Court Register kept by the District Court for Poznań Nowe Miasto i Wilda, 9th Commercial Division of the National Court Register under file number KRS 0000408273.

The parent company has been given the following statistical number: REGON 300820828.

The Company’s registered office is located at the following address: Ostrowska 122, 63-700 Krotoszyn.

The duration of the parent company and of the entities forming part of the Group is unlimited.

The Group’s main line of business is retail sale in non-specialized stores with food, beverages or tobacco predominating.

Moreover, the Group also produces meat products, which are supplied to external customers through the Group’s retail network.

Approval of consolidated financial statements

These consolidated financial statements were approved for publication by the Management Board on 14 March 2019.

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2. Composition of the Group

The Group consists of Dino Polska S.A. and the following subsidiaries:

<i>Name of the unit</i>	<i>Registered office</i>	<i>Line of business</i>	<i>Stake held by the Group</i>	
			<i>31 December 2018</i>	<i>31 December 2017</i>
DINO Polska S.A. (parent company)	Krotoszyn	Retail sale conducted in non-specialized stores with food, beverages or tobacco predominating	-	-
Agro-Rydzyna sp. z o.o.	Kłoda	Production of meat products	100%	100%
Vitrema Holdings Ltd.*	Limassol, Cyprus	Investments in properties, shares, covered bonds, bonds, provision of financial services of any type	100%	100%
Centrum Wynajmu Nieruchomości sp. z o.o.	Krotoszyn	Renting and operating of own or leased real estate	100%	100%
Centrum Wynajmu Nieruchomości 1 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości 2 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości 3 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości 4 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości 5 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości 6 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
PIK Finanse sp. z o.o. (formerly Centrum Wynajmu Nieruchomości Marketing sp. z o.o.)*	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA in liquidation*	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	-	100%
Dino Oil sp. z o.o.*	Krotoszyn	Manufacture and processing of refined petroleum products, retail sale of automotive fuel in specialized stores	100%	100%
Dino Krotoszyn sp. z o.o.	Krotoszyn	Warehousing and storage services, processing and preserving of meat, excluding poultry meat	100%	100%
Pol-Food Polska sp. z o.o.	Krotoszyn	Leasing of intellectual property and similar products, except copyrighted works	-	100%

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Dino Północ sp. z o.o.*	Krotoszyn	Retail sale conducted in non-specialized stores with food, beverages or tobacco predominating	100%	100%
Dino Południe sp. z o.o.*	Krotoszyn	Operation of warehousing and storage facilities for goods	100%	100%

**As at the date of preparation of the consolidated financial statements, the companies did not conduct operating activity.*

As at 31 December 2018 and 31 December 2017, the share in overall number of votes held by the Group in its subsidiaries is equal to the Group's share held in their capital.

The following changes took place in the Group's structure in the period from 1 January 2017 to 31 December 2018:

- on 26 June 2017, the Regional Court in Warsaw handed down a decision to deregister Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych in liquidation,
- on 12 October 2018, the District Court in Poznań issued a decision to strike the Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA in liquidation from the register,
- on 26 October 2018 the Dino Polska Management Board made a decision on the intention of merging Dino Polska S.A. with subsidiary Pol-Food Polska sp. z o.o. (Acquiree) in which Dino Polska is the sole shareholder. The merger was effected under the procedure in Article 492 §1 sec. 1 of the Commercial Company Code, i.e. by transferring all the assets of the Acquiree to Dino Polska. The merger transpired on 21 December 2018.

3. Composition of the parent company's Management Board

As at 31 December 2018, the Management Board of the parent company consisted of the following persons:

Szymon Piduch – President of the Management Board

Michał Krauze – Management Board Member

During the reporting period and by the date of approving these consolidated financial statements, the composition of the parent company's Management Board did not change.

4. Material professional judgments and estimates

The preparation of the Group's consolidated financial statements requires the Management Board of the parent company to make judgments, estimates and assumptions that affect the presented revenues, costs, assets and liabilities and related notes and disclosures regarding contingent liabilities. Uncertainty about such assumptions and estimates may result in significant adjustments to the carrying amounts of assets and liabilities in the future.

4.1. Professional judgment

In applying the accounting policies, the Management Board has made the following judgments that have the greatest impact on the presented carrying amounts of assets and liabilities.

Classification of lease agreements

The Group classifies leases as operating or financial based on the assessment of the extent to which risks and rewards incident to ownership of a leased asset lie with the lessor or the lessee. This assessment is based on the economic content of each transaction.

Classification of reverse factoring agreements

The Company utilizes reverse factoring agreements in reference to its liabilities to manage working capital whereby it submits invoices for purchases from selected suppliers for the purpose of factoring. Considering the potential impact exerted by these types of agreements on the statement of cash flows and the statement on financial position, the Management Board makes a judgment on whether in connection with the utilization of factoring, the nature of the liability materially changes and whether it is necessary to alter its presentation.

Settlement of revenue under contracts with suppliers

The Company enters into contracts with suppliers on whose basis rebates, discounts and additional remuneration and fees are awarded to the Company, hinging, among other things, on the volume of purchases and related to promotions and marketing. The Company recognizes the benefits derived from these contracts by subtracting them from the purchase price of merchandise from suppliers and accordingly a reduction in the cost of goods sold presented in the statement of profit or loss as cost of sales at the time of sale of the merchandise. The justified portion of the benefits received is allocated to unsold merchandise as at the balance sheet date as a reduction in the value thereof.

4.2. Uncertainty of estimates and assumptions

Discussed below are the main assumptions concerning the future and other major sources of uncertainty existing as at the balance sheet date, which entail a significant risk of a considerable adjustment of the carrying amounts of assets and liabilities in the next financial year. In the course of drawing up the consolidated financial statements, the Group has made certain forward-looking assumptions and estimates. These assumptions and estimates may change as a result of future events resulting from market changes or changes that are not controlled by the Group. Such changes will be reflected in the estimates or assumptions at the time of their occurrence.

Impairment of trademarks and goodwill

The Group has tested the impairment of trademarks and goodwill. It required an estimate of the value in use of the cash generating unit to which the goodwill and trademarks are allocated. The estimation of value in use is based on the determination of future cash flows to be generated by the cash generating unit and requires determination of the discount rate for calculating the present value of these cash flows. The assumptions made for this purpose are presented in Note 18.

Measurement of inventories

The Group measures inventories at the lower of purchase price/production cost and net realizable price. The net realizable price is estimated as the sales price that can be achieved in the course of the entity's normal business, less the estimated costs required to finalize the sale.

Measurement of provisions for employee benefits

Provisions for employee benefits were estimated using actuarial methods. The assumptions made for this purpose, along with the sensitivity analysis, are presented in Note 26.

Estimated provisions for litigation

The Group is involved as a party in lawsuits. Based on the estimates, the Management Board has concluded that the risk of losing in the pending cases is low. Therefore, no provisions have been recognized for pending litigation.

Component of assets and liabilities and possible provisions related to current and deferred taxes

Regulations regarding VAT, corporate income tax and social security contributions are subject to frequent changes. These frequent changes result in there being little point of reference, interpretations not consistent and few established precedents that may be followed. The binding regulations also contain uncertainties resulting in differences in opinions regarding the legal interpretation of tax regulations both between government bodies, and between government bodies and companies.

Tax settlements and other areas of activity (e.g. customs or foreign currency related issues) may be subject to inspection by administrative bodies authorized to impose high penalties and fines, and any additional taxation liabilities calculated as a result must be paid together with high interest. These conditions mean that the tax risk in Poland is higher than in countries with a more mature fiscal system.

Accordingly, the amounts presented and disclosed in the financial statements may change in the future as a result of a final decision of tax audit authorities.

Effective 15 July 2016, the Polish Tax Code was amended for the General Anti-Abuse Rule (GAAR) provisions. GAAR is intended to prevent the creation and use of artificial legal arrangements to avoid payment of tax in Poland. GAAR defines tax avoidance as an act carried out primarily in order to achieve a tax benefit, contrary in the circumstances to the object and goal of provisions of a tax act. Pursuant to GAAR, such an act does not result in a tax benefit, if the mode of action was not genuine. All unjustified (i) split of operations, (ii) involvement of intermediary entities without any economic or business justification, (iii) elements that compensate or exclude each other and (iv) other actions with a similar effect to the previously mentioned, may be considered as prerequisites of artificial activities subject to GAAR. The new regulation will require significantly more judgment in assessment of the tax consequences of individual transactions.

The GAAR clause is effective with respect to transactions executed following its entry into force and transactions that were carried out before, but the benefits were / are being derived after the date of its entry into force. Implementation of the above provisions will enable the Polish tax authorities to challenge legal arrangements used by the taxpayers such as group restructurings and reorganizations.

Depreciation and amortization rates

Depreciation rates are determined based on the expected useful life of property, plant and equipment and intangible assets. On an annual basis, the Group verifies the accepted useful life periods based on current estimates.

5. Basis for preparation of consolidated financial statements

These consolidated financial statements have been prepared in accordance with the historical cost convention.

These consolidated financial statements are presented in Polish zloty ("PLN") and all amounts are given in thousands of PLN, unless otherwise stated.

These consolidated financial statements have been prepared on the assumption that the Group companies will continue as going concerns in the foreseeable future, i.e. within no less than 12 months from the balance sheet date, except for Viterna Holdings Ltd. that is undergoing liquidation.

As at 31 December 2018, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where a predominant part of sales is made for cash, inventories are minimized and suppliers offer deferred payment terms. At the same time, the Group intensively develops its network using free cash and funding from bank loans to increase the number of its operational stores. Covenants related to loan agreements are monitored on an ongoing basis. As at the balance sheet date of 31 December 2018, there was no default on the terms and conditions of credit agreements and the Management Board is of the opinion there is no risk that banks may terminate such agreements within 12 months of the balance sheet date of 31 December 2018. As at the date of approval of these consolidated financial statements, no circumstances have been found that would indicate a threat for the Group companies' to continue as a going concern.

5.1. Statement of conformity

These consolidated financial statements have been prepared in accordance with the International Financial Reporting Standards ("IFRS") approved by the European Union ("EU IFRS"). As at the date of approving these financial statements for publication, considering the pending process of introducing IFRSs in the EU and the operations conducted by the Group, the IFRS applicable to these financial statements do not differ from the EU IFRS. The EU IFRS include standards and interpretations accepted and published by the International Accounting Standards Board ("IASB").

Some of the Group's entities keep their accounting books in accordance with the accounting policies set forth in the Accounting Act of 29 September 1994 (the "Act"), as amended, and the regulations issued on its basis ("Polish Accounting Standards"). These consolidated financial statements include a number of adjustments not included in the accounts of the Group companies, which were made to bring the financial statements of those companies into conformity with IFRS.

5.2. Functional currency and presentation currency

The Group's consolidated financial statements are presented in PLN, which is also the functional currency of the parent company and of the subsidiaries.

6. Significant accounting policies

6.1. Consolidation rules

These consolidated financial statements include the financial statements of DINO Polska S.A. and the financial statements of its controlled entities (subsidiaries) prepared for the year ended 31 December 2018. The financial year of the parent company and the group companies is the calendar year.

The financial statements of the subsidiaries, after taking into consideration adjustments introduced to make them compliant with IFRS, are prepared for the same reporting period as the statements of the parent company, applying

consistent accounting principles, based on uniform accounting principles applied for transactions and similar economic events. To eliminate any discrepancies in the accounting standards applied, corrections are made.

All significant balances and transactions between Group units, including unrealized profits stemming from transactions within the Group have been wholly eliminated. Unrealized losses are eliminated unless they prove the occurrence of an impairment.

Subsidiaries are subject to consolidation from the date when the Group assumes control over them, and they cease to be consolidated when control no longer exists. The parent company has control only if it has:

- has power over the entity,
- is subject to exposure, or rights, to variable returns from its involvement with the entity,
- the ability to affect those returns through power over the entity.

The Company verifies the fact of having power over other entities if there is a situation indicating a change in one or more of the above mentioned pre-conditions for control.

Where the Company holds less than a majority of voting rights in an entity, but the voting rights held are sufficient to unilaterally direct the relevant activities of that entity, this means that it exercises authority over the entity. When assessing whether the voting rights in a given entity are sufficient to secure power, the Company analyzes all material circumstances, including:

- the size of the holding of voting rights compared to the size of the holding of shares and the degree of dispersion of voting rights held by other shareholders;
- potential voting rights held by the Company, other shareholders or other parties;
- rights arising from other contractual arrangements; and
- additional circumstances, which may prove whether the Company has the ability to direct the relevant activities at the moment of the decisions, including voting patterns observed at previous shareholder meetings.

Changes in a parent's ownership interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions. In such circumstances the carrying amounts of the controlling and non-controlling interests should be adjusted by the Group to reflect the changes in their relative interests in the subsidiary. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received should be recognized in equity and attributed to the owners of the parent.

6.2. Fair value measurement

Fair values of financial instruments measured at amortized cost are presented in Note 34.

Fair value is defined as the price that would be received from the sale of an asset or paid to transfer a liability in an orderly transaction to sell the asset between market participants at the measurement date under current market conditions. A fair value measurement is based on an assumption that the asset sale or liability transfer transaction is conducted either:

- in the principal market for the asset or liability; or
- in the absence of a principal market, in the most advantageous market for the asset or liability.

Both the principal market and most advantageous market must be available to the Group.

The fair value of an asset or liability is determined using the assumption that market participants act in their best economic interest when determining the price of an asset or liability.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All the assets and liabilities measured at fair value or whose fair value is shown in the consolidated financial statements are classified by means of the fair value hierarchy as described below, based on the lowest level of inputs required to measure fair value as a whole:

- Level 1 - Quoted market prices (unadjusted) in active markets for identical assets or liabilities,
- Level 2 - Valuation methods for which the lowest level of inputs required to measure fair value as a whole is directly or indirectly observable.
- Level 3 - Valuation methods for which the lowest level on inputs required to measure fair value as a whole is unobservable.

For each balance sheet date, in the case of assets and liabilities occurring in the consolidated financial statements, the Group assesses whether transfers between fair value hierarchy levels have taken place by reassessing the classification to individual levels, based on the materiality of the inputs from the lowest level, which is relevant to the fair value measurement as a whole.

For the purpose of disclosing the fair value measurement results, the Group identified the asset and liability classes based on the type, characteristics and risk related to particular assets and liabilities and their fair value hierarchy level, as described above.

6.3. Currency translations

Transactions denominated in currencies other than PLN are translated into zloty at the rate effective on the transaction date.

As at the balance sheet date, monetary assets and liabilities denominated in currencies other than PLN are translated into zloty at the mid exchange rate quoted for a given currency by the National Bank of Poland (NBP) at the end of the reporting period. The resulting foreign exchange gains and losses are recognized as financial income/expenses or, where the accounting policies so provide, capitalized in the value of assets. Non-monetary assets and liabilities recognized at historical cost and expressed in a foreign currency are recognized at the historical rate in effect on the transaction date. Non-monetary assets and liabilities measured at fair value expressed in a foreign currency are translated at the exchange rate effective on the date of the fair value measurement. Gains or losses arising out of translation of non-monetary assets and liabilities recognized at fair value are recognized in the same way as any gain or loss arising out of a change in fair value is recognized (i.e. in other comprehensive income or in profit or loss, as appropriate, depending on where the change in fair value is recognized).

For the purposes of balance sheet measurement, the following exchange rates have been assumed:

	<i>31 December 2018</i>	<i>31 December 2017</i>
EUR	4.3000	4.1709

The functional currency of foreign subsidiaries is PLN.

Goodwill arising out of the acquisition of a foreign entity and any adjustments resulting from the measurement to fair value of assets and liabilities on such an acquisition are treated as assets or liabilities of such a foreign entity and translated at the average exchange rate set for the currency by the National Bank of Poland in effect on the balance sheet date.

The average weighted exchange rates for individual financial periods were as follows:

	<i>Year ended 31 December 2018</i>	<i>Year ended 31 December 2017</i>
EUR	4.2623	4.2576

6.4. Property, plant and equipment

Property, plant and equipment are stated at purchase prices/production cost less accumulated depreciation and impairment losses. The initial value of fixed assets includes their purchase price plus all the costs directly related to the purchase and bringing the asset to the condition necessary for its use. This cost also includes the cost of replacement of component parts of machinery and equipment, which is recognized when incurred if relevant criteria are met. Costs incurred after a fixed asset is put into operation, such as costs of maintenance and repair, are charged to profit or loss when incurred. Property, plant and equipment also includes advances on future purchases of property, plant and equipment.

Upon purchase, fixed assets are divided into components, which represent items of significant value that can be allocated to a separate period of useful life. The costs of major overhauls are also a component part.

Property, plant and equipment is depreciated on a straight-line basis over their estimated economic useful lives, as detailed in the following table:

<i>Type</i>	<i>Period</i>
Perpetual usufruct right to land	not depreciated
Buildings and structures	10-40 years
Plant and equipment	3-12 years
Means of transport	5-7 years
Other fixed assets	2-12 years

The residual values, useful economic lives and depreciation methods are reviewed annually and adjusted if required as at the balance sheet date.

A property, plant and equipment item may be derecognized from the consolidated statement of financial position after its disposal or when no economic benefits are expected from the continued use of the asset. All the profits or losses resulting from removing an asset from the consolidated statement of financial position (calculated as a difference between the possible net sale price and the carrying amount of the item) are recognized in profit or loss of the period when such removal took place.

Investments in progress are fixed assets under construction or under assembly and are recognized at purchase price or production cost less any impairment loss. Fixed assets under construction are not depreciated until the construction is completed and the fixed asset is put to use.

6.4.1. Non-current assets held for sale

Non-current assets and their groups to be sold are classified by the Group as held for sale if their carrying amount is recovered as a result of a sale transaction rather than from their continued use. This condition can only be satisfied if the sale transaction is highly probable and the asset is available for immediate sale in its present condition. Classification of an asset as held for sale assumes that the Company's management intends to make a sale within one year of classification. Non-current assets classified as held for sale are measured at the lower of their carrying amount or fair value less costs to sell.

If the Group wishes to make a disposal as a result of which it would lose control over its subsidiary then all assets and liabilities of that subsidiary are classified as held for sale, regardless of whether the Group will retain non-controlling interests after the transaction.

6.5. Intangible assets

Intangible assets acquired in a separate transaction or produced (if they meet the criteria for being recognized under cost of research and development) are initially carried at purchase price or production cost. The purchase price of intangible assets acquired in a business combination is equivalent to their fair value as at the date of the combination. After initial recognition, intangible assets are recognized at purchase price or production cost, less accumulated amortization and impairment loss. Outlays incurred for intangible assets developed in-house, with the exception of the outlays incurred for development work, are not capitalized and are recognized as costs of the period in which they were incurred.

The Group determines whether intangible assets have definite or indefinite useful lives. Intangible assets with indefinite useful lives are amortized over their useful lives and assessed for impairment whenever there is an indication of impairment. Useful lives are reviewed each year. The changes in the expected useful life or the expected method of consuming the economic benefits from a given asset are recognized through a change to the period or method of depreciation and amortization, respectively, and are treated as changes to estimates. Amortization of intangible assets with specified useful lives is recognized in profit or loss in the category that corresponds to the function of the relevant intangible asset.

Intangible assets with indefinite useful lives (goodwill and trademarks) and those which are not used are subjected to an impairment test at the level of individual assets or a cash-generating unit.

A summary of the standards used in reference to the Group's intangible assets is presented as follows:

<i>Goodwill and trademarks</i>	
Useful lives	Unspecified
Impairment test	Annual
<i>Other intangible assets</i>	
Useful lives	2-10 years
Amortization method used	Straight line method
Impairment test	Annual evaluation whether or not evidence of impairment exists.

Gains or losses arising upon derecognition of intangible assets from the consolidated statement of financial position are calculated at a difference between net sales revenues and the carrying amount of the asset and are recognized in profit or loss when they are derecognized from the consolidated statement of financial position.

6.5.1. Goodwill

Goodwill arising from the acquisition of a business is initially recognized at purchase price as an excess of:

- the consideration transferred,
- the amount of any non-controlling interest in the acquiree, and
- in a business combination achieved in stages, the acquisition-date fair value of the acquirer's previously held *equity interest* in the acquiree

over the net fair value of the identifiable assets acquired and liabilities assumed, as determined on the date of acquisition.

After initial recognition, goodwill is measured at purchase price less all the accumulated impairment losses. Goodwill is tested for impairment once a year or more frequently if necessary. Goodwill is not amortized.

At the acquisition date, the acquired goodwill is allocated to each cash-generating unit which may take advantage of the synergy of the combination. Each unit or group of units to which goodwill has been allocated:

- corresponds to the lowest level in the Group at which goodwill is monitored for internal management purposes and
- is no higher than a single operating segment specified according to IFRS 8 Operating Segments.

An impairment loss is determined by estimating the recoverable amount of the cash-generating unit to which the relevant goodwill has been allocated. If the recoverable amount of the cash-generating unit is lower than the carrying amount, an impairment loss is recognized. If goodwill is a part of a cash-generating unit and a part of the business within the unit is sold, the goodwill connected with the business sold, when determining profit or loss from the sale of such business, will be included in its carrying amount. In such circumstances, the goodwill sold is calculated based on the relative value of the business sold and the value of the retained part of the cash generating unit.

6.6. Leases

Group as a lessee

The finance leases that transfer to the Group substantially all risks and benefits resulting from possession of the object of lease are recognized in the consolidated statement of financial position as of the date of commencing the lease, in the lower of two values: the fair value of the fixed asset being the object of the lease or the present value of minimum lease payments. Leasing fees are ascribed to financial expenses and to the reduction of principal debt balance by virtue of leasing in a manner enabling the achievement of a fixed interest rate on the outstanding liability. Financial expenses are recognized directly in the profit or loss, unless the capitalization criteria are met.

Fixed assets used under finance leases are depreciated in the shorter of the two periods: the estimated period of using the fixed asset or the period of lease.

Lease agreements under which the lessor retains essentially all the risks and all the benefits derived from possession of the leased item are classified as operating lease agreements. Operating lease payments and subsequent lease installments are recognized as operating expenses through profit or loss using the straight line method during the leasing period.

Conditional lease payments are recognized as an expense in the period in which they become due.

6.7. Impairment of non-financial non-current assets

As at every balance sheet date the Group assesses whether there are any premises indicating that an impairment could occur with respect to any of its non-financial non-current assets. If any such indication exists, or if there is a need to perform an annual impairment testing, the Group estimates the recoverable amount of the asset or the cash-generating unit to which the asset belongs.

Recoverable amount of an asset or a cash generating unit is equal to either: its fair value less the cost to sell such asset or cash generating unit, or its value in use, whichever is higher. Recoverable amount is determined for individual assets, unless the asset does not by itself generate any cash proceeds, which are mostly independent from those generated by other assets or asset groups. If the carrying amount is higher than the recoverable amount then an impairment loss is recognized. When estimating the value in use, the forecast cash flows are discounted to their present value using the discount rate before the effects of taxation are taken into account, which reflects the current market estimation of time value of money and risk typical for a given asset. Impairment losses on assets used in the continuing operations are recognized in those cost categories that correspond to the function of the impaired asset.

On each balance sheet date, the Group assesses whether any evidence exists that the impairment loss recognized in prior periods for an asset is no longer necessary or whether it should be reduced. If such evidence exists, the Group estimates the recoverable amount of the asset. The previously recognized impairment loss is reversed only when the estimated values used to determine the recoverable amount of the asset changed since the last impairment loss was recognized. If this is the case, the carrying amount of the asset is increased to its recoverable amount. The increased carrying amount of an asset attributable to a reversal of an impairment loss will not exceed the carrying amount that would have been determined (net of amortization or depreciation) had no impairment loss been recognized for the asset in prior years. A reversal of an impairment loss for an asset is recognized immediately as revenue. After a reversal of an impairment loss is recognized, the depreciation (amortization) charge for the asset will be adjusted in future periods to allocate the asset's revised carrying amount, less its residual value, on a systematic basis over its remaining useful life.

6.8. Cost of external financing

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset, i.e. one that requires substantial period of time to get ready for its intended use, are capitalized as part of purchase price or production cost of that fixed asset. The Group holds no assets that require a substantial period of time to get ready for its intended use and therefore borrowing costs are not capitalized.

6.9. Financial assets – accounting policy applied since 1 January 2018

Classification and measurement of financial assets

Financial assets are classified into the following measurement categories:

- measured at amortized cost,
- measured at fair value through profit or loss,
- measured at fair value through other comprehensive income.

The Group does not hold any financial assets measured at fair value and all of its financial assets previously measured at amortized cost will continue to be measured at amortized cost.

Trade receivables are held in order to collect contractual cash flows and the Group does not sell trade receivables in factoring schemes – they will continue to be measured at amortized cost through profit or loss. The Group uses a practical exemption and for trade receivables under 12 months does not identify significant financing components.

Debt instruments – financial assets measured at amortized cost

A financial asset is measured at amortized cost if both of the following conditions are satisfied:

- a) the financial asset is held in accordance with the business model the purpose of which is to hold financial assets to obtain cash flows generated from the contract, and
- b) the terms of the contract related to the financial asset cause cash flows to be generated on specific dates, such cash flows representing only the repayment of the principal and interest on the outstanding principal.

The Group classifies the following assets into the category of financial assets measured at amortized cost:

- trade receivables,
- loans which, according to the business model, are reported as held to generate cash flows,
- cash and cash equivalents.

Interest income is calculated using the effective interest rate method and is shown in the statement of profit or loss/statement of comprehensive income in the line item „Interest income”.

In a situation where the Group:

- currently has a legally enforceable right to set off the recognized amounts
- and intends to settle it on a net basis or at the same time to realize an asset and perform an obligation

a financial asset and a financial liability are offset and the net amount presented in the statement of financial position.

The master netting arrangement described in IAS 32.50 does not provide a basis for offsetting unless both of the criteria described above are satisfied.

6.10. Impairment of financial assets – accounting policy applied since 1 January 2018

The Group assesses its expected credit losses (ECLs) associated with debt instruments measured at amortized cost and fair value through other comprehensive income, regardless of whether or not there has been any indication of impairment.

For trade receivables, the Group applies a simplified approach and measures a loss allowance for expected credit losses at the amount equal to the expected credit losses over the instrument's lifetime. The Group uses its historical data on credit losses, adjusted on an as-needed basis for the impact of forward-looking statements.

In the case of other financial assets, the Group measures a allowance for expected credit losses at the amount equal to the financial instrument's 12-month expected credit losses. If the credit risk related to a given financial instrument has significantly increased since its initial recognition, the Group measures a loss allowance for expected credit losses on a financial instrument at the amount equal to the expected credit losses over the instrument's lifetime.

6.11. Financial assets – accounting policy applied until 31 December 2017

Financial assets are classified in the following categories:

- Financial assets held to maturity,
- Financial assets at fair value through profit or loss,
- Loans and receivables,
- Available-for-sale financial assets,

Held-to-maturity financial assets are non-derivative financial assets quoted on an active market, with fixed or determinable payments and fixed maturities, which the Group has the positive intention and ability to hold to maturity, other than:

- those designated upon initial recognition as financial assets at fair value through profit or loss,
- those designated as available for sale,
- those that meet the definition of loans and receivables.

Financial assets held to maturity are measured at amortized cost using the effective interest rate method. Financial assets held to maturity are classified as non-current assets if their maturity is more than 12 months from the balance sheet date.

A financial asset at fair value through profit or loss is a financial asset that meets either of the following conditions:

a) it is classified as held for trading. A financial asset is classified as held for trading if it:

- is acquired or incurred principally for the purpose of selling or repurchasing it in the near term;
- is part of a portfolio of identified financial instruments that are managed together and for which there is probability of short-term profit-taking;
- is a derivative, except for a derivative that is an element of hedge accounting or a financial guarantee contract;

b) has been assigned to this category under IAS 39 upon initial recognition.

Financial assets at fair value through profit or loss are measured at fair value, based on their market value on the balance sheet date, without reflecting sales transaction costs. Any changes in the value of these instruments are recognized directly in the consolidated statement of profit or loss as finance income (positive net changes of fair value) or expenses (negative net changes of fair value). An entire contract can be designated as a financial asset at fair value through profit or loss if it contains one or more embedded derivatives. The above does not apply when an embedded derivative has no significant impact on cash flows generated by the original contract it is clear with little or no analysis when a similar hybrid instrument is first considered that separation of the embedded derivative is prohibited. Financial assets can be initially designated as financial assets at fair value through profit or loss when the following criteria are met: (i) such designation eliminates or significantly reduces a measurement or recognition inconsistency (accounting mismatch) that would otherwise arise, or (ii) assets are part of a group of financial assets that are managed and valued based on fair value, according to a well-documented risk management strategy, or (iii) financial assets contain embedded derivatives, which should be presented separately. As at 31 December 2018 and as at 31 December 2017, no financial assets have been designated as at fair value through profit or loss.

Loans and receivables are financial assets with fixed or determinable payments not classified as derivatives and unquoted on any active market. They are classified as current assets if their maturity does not exceed 12 months from the balance sheet date. Loans and receivables with a maturity exceeding 12 months from the balance-sheet date are classified as non-current assets.

Available-for-sale financial assets are financial assets that are not derivative instruments, which have been classified as being available for sale or not belonging to any of the previous three categories. Available-for-sale financial assets are recognized at fair value plus transaction costs that are directly attributable to the acquisition or issue of the financial asset or financial liability. If there are no exchange quotations available on an active market and their value cannot be reliably determined using alternative methods, available-for-sale financial assets are measured at purchase price adjusted for impairment losses. The positive or negative differences between fair value and purchase price of available-for-sale financial assets (if there is a quoted price on an active market or when fair value can be reliably established otherwise), less deferred tax, is recognized in other comprehensive income. A decrease in the value of assets available for sale due to impairment is recognized as financial expenses.

Any purchase or sale of financial assets is recognized as at the transaction date. Upon initial recognition, a financial asset is measured at fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs directly attributable to the acquisition.

A financial asset is removed from the consolidated statement of financial position when the Group loses control over contractual rights comprising a given financial instrument; this is usually the case when the instrument is sold or when all cash flows attributable to the instrument are transferred to an independent third party.

In a situation where the Group:

- currently has a legally enforceable right to set off the recognized amounts
- and intends to settle it on a net basis or at the same time to realize an asset and perform an obligation

a financial asset and a financial liability are offset and the net amount presented in the consolidated statement of financial position.

The master netting arrangement described in IAS 32.50 does not provide a basis for offsetting unless both of the criteria described above are satisfied.

6.12. Impairment of financial assets – accounting policy applied until 31 December 2017

The Group assesses at each balance sheet date whether there is any objective evidence that a financial asset or group of financial assets is impaired.

6.12.1. Assets recognized at amortized cost

If there are objective indications that any loans and receivables recognized at amortized cost are impaired, the amount of the impairment loss is determined as the difference between the carrying amount of the financial asset and the present value of the estimated future cash flows (excluding estimated losses due to future loan defaults that have not yet occurred), the discount rate being the original effective interest rate for the financial asset, i.e. the effective interest rate determined on initial recognition. The carrying amount of the asset is reduced through a loss allowance account. The amount of the loss is recognized in profit or loss.

The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and also evidence of impairment for financial assets that are not individually significant. If the analysis shows that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not then the Group includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognized are not included in a collective assessment of impairment.

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognized, the previously recognized impairment loss is reversed. A subsequent reversal of the impairment loss is recognized in profit or loss to the extent that the carrying amount of the asset at the reversal date does not exceed its amortized cost.

6.12.2. Financial assets measured at cost

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset.

6.12.3. Financial assets available for sale

If there is objective evidence that an impairment loss has been incurred on an available-for-sale financial asset then the amount of the difference between the purchase price (net of any principal repayment and amortization) and current fair value, less any impairment loss on that financial asset previously recognized in profit or loss, is removed from equity and recognized in profit or loss.

A reversal of an impairment loss on equity instruments classified as available for sale may not be recognized in profit or loss. If, in a subsequent period, the fair value of an available-for-sale debt instrument increases, and the increase may be attributed objectively to an event occurring after the recognition of the impairment loss, the impairment loss should be reversed, with the amount of the reversal recognized in consolidated profit or loss.

6.13. Inventories

Inventories are measured at purchase price, no higher than their net realizable price.

The purchase price or the production cost of an inventory component takes into account the costs of purchase, the costs of conversion and other equipment costs incurred in bringing the inventories to make their present location and condition - both in terms of the current and the previous year - and are determined as follows:

Materials	- at purchase price using the “first in, first out” method
Finished goods and work in progress	- the cost of direct materials and labor and an appropriate overhead of indirect manufacturing costs determined under the assumption of normal production capacity utilization, excluding borrowing costs
Merchandise	- at purchase price using the “first in, first out” method

The net realizable price is the estimated sales price that can be achieved in the course of the entity’s normal business, less the costs of finishing and the estimated costs required to finalize the sale. The costs of transport from the warehouse to the stores are an element of valuation of the inventories and cost of sales at the time of their sale.

6.14. Trade receivables

Trade receivables are recognized and measured at originally invoiced amounts, including impairment for expected credit losses over the instrument's lifetime. An impairment loss for receivables is estimated when the recovery of the full amount of the receivable is no longer probable.

If the effect of the time value of money is material, the amount of receivables is determined by discounting projected future cash flows to their present value using pre-tax discount rates reflecting current market estimates of the time value of money and risks, if any, specific to a given obligation. If the discount method is applied, an increase in receivables as a result of lapse of time is recognized in financial income.

6.15. Other receivables

Other receivables include, in particular, receivables from sales vouchers, bid deposits made to purchase property, plant and equipment and receivables from employees. Receivables from the state budget are presented under other non-financial assets, except for corporate income tax receivables, which constitute a separate item in the consolidated statement of financial position.

6.16. Cash and cash equivalents

Cash and short-term deposits presented in the consolidated statement of financial position include cash at bank and in hand, as well as short-term deposits with an original maturity of up to three months and cash in transit due to card payments.

The balance of cash and cash equivalents shown in the consolidated statement of cash flows includes the cash and cash equivalents listed above.

The Group does not charge and does not have funds for the Social Fund in accordance with the Remuneration Bylaws.

6.17. Interest-bearing loans, borrowings and debt securities

At initial recognition, all bank loans, borrowings and debt securities are recognized at fair value less the cost of obtaining the loan or borrowing.

After initial recognition, interest-bearing loans, borrowings and debt securities are measured at amortized cost using the effective interest rate method.

When calculating amortized cost, the cost of obtaining the loan or borrowing must be taken into account, as well as any discounts and bonuses obtained in connection with the liability.

Revenues and costs are recognized in profit or loss upon derecognition of the liability from the consolidated statement of financial position and also as a result of a settlement using the effective interest rate method.

6.18. Trade payables

The amount of trade payables is determined by discounting projected future cash flows to their present value using pre-tax discount rates reflecting current market estimates of the time value of money and risks, if any, specific to a given obligation. If a discounting-based method was used, an increase of a liability associated with passage of time is recognized as financial expenses.

The Group assumes the discount rate at the level of the average interest rate on the Group's financial liabilities in the period. The average discount rate used to discount trade payables was 3.11% in 2017 and 2.95% in 2018.

Trade payables in reverse factoring are presented in the line item "Trade and other payables" in current liabilities, provided that the reverse factoring has not caused a significant change in the terms of payment. The assessment of whether a fundamental change in the conditions of payment has occurred is the Management Board's judgment described in the section professional judgment of the financial statements.

6.19. Financial liabilities

Financial liabilities measured at fair value through profit or loss include financial liabilities held for trading and financial liabilities initially classified as measured at fair value through profit or loss. Financial liabilities are classified as held for trading if they have been acquired for the purpose of being sold in the near future. Derivatives, including separated embedded instruments, are also classified as held for trading, unless they are deemed to be effective hedging instruments. Financial liabilities may be designated upon initial recognition as at fair value through profit or loss, if the following criteria are met: (i) such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise, or (ii) liabilities are part of a group of financial liabilities that are managed and valued based on fair value, according to a well-documented risk management strategy, or (iii) financial liabilities contain embedded derivatives, which should be presented separately. As at 31 December 2018 and as at 31 December 2017, no financial liabilities have been designated as at fair value through profit or loss.

Other financial liabilities not classified as financial instruments at fair value through profit or loss are measured at amortized cost using the effective interest rate method.

The Group derecognizes a financial liability from its consolidated statement of financial position if the liability has expired, i.e. when the obligation specified in the contract is discharged or cancelled or expires. Replacement of an existing debt instrument with another one with substantially different terms, performed between the same parties, is recognized by the Group as an extinguishment of the original financial liability and recognition of a new financial liability. Similarly, a substantial modification of the terms of an existing financial liability is accounted for by the Group as an extinguishment of the original financial liability and the recognition of a new financial liability. Differences in carrying amounts resulting from such an exchange are recognized in profit or loss.

Starting from 1 January 2018, in the event of a change in the contractual terms of a financial liability that does not result in derecognition of an existing liability, the gain or loss is recognized immediately in the financial result. A gain or loss is calculated as the difference between the present value of the modified and original cash flows, discounted using the original effective interest rate of the liability.

6.20. Other non-financial liabilities

Other non-financial liabilities include in particular liabilities to the tax office on account of value added tax and local taxes and liabilities on account of received advance payments to be settled by deliveries of goods or services. Other non-financial liabilities are recognized at the amount of required payment.

6.21. Provisions

Provisions are recognized when the Group has an obligation (legal or constructive) resulting from past events and when it is probable that the discharge of this obligation will cause an outflow of economic benefits, and the amount of the obligation may be reliably estimated. When the Group expects to receive a reimbursement of the costs covered by the provision, for example under an insurance agreement, then the reimbursement is recognized as a separate asset when, and only when, it is virtually certain that reimbursement will be received. The costs tied to a provision are recognized in the consolidated statement of profit or loss net of any reimbursements.

If the effect of the time value of money is material, the amount of provisions is calculated by discounting projected future cash flows to their present value using a discount rate reflecting current market estimates of the time value of money and risks, if any, specific to a given obligation. If the discount method is applied, an increase in provisions as a result of lapse of time is recognized in financial expenses.

6.22. Employee benefits

In accordance with internal remuneration regulations, Group employees are entitled to retirement severance benefits. Retirement severance benefits are paid out as a one-off benefit upon retirement. The amount of retirement severance benefits depends on the number of years of employment and the average salary. The Group makes a provision for retirement severance benefits in order to allocate costs of those allowances to the periods, to which they relate. Under IAS 19, retirement severance benefits are post-employment defined benefit plans. The present value of these commitments for each balance sheet date is calculated by an independent actuary. The balance of

these liabilities equals discounted payments which will be made in the future and accounts for staff turnover, and relate to the period to the balance sheet date. Demographic information and employee turnover information are based on historical data.

The remeasurement of employee benefit liabilities relating to defined benefit plans, including actuarial gains and losses, is recognized in other comprehensive income and is not reclassified subsequently to profit or loss.

The Group recognizes the following changes in net liabilities on account of defined benefits as part of: the cost of sales, general administration expenses and sales and marketing expenses, respectively, which are composed of

- service cost (including, but not limited to, current service cost, past service cost)
- net interest on the net defined benefit liability.

6.23. Revenue

6.23.1. Revenue from contracts with customers – accounting policy applied since 1 January 2018

The Group applies IFRS 15 “Revenue from contracts with customers” to all its contracts with customers, with the exception of lease contracts covered by the scope of application of IFRS 16 “Leases”, financial instruments and other contractual rights or obligations covered by the scope of application of IFRS 9 “Financial Instruments”, IFRS 10 “Consolidated financial statements”, IFRS 11 “Joint arrangements”, IAS 27 “Separate financial statements” and IAS 28 “Investments in associates and joint ventures”.

The basic principle of IFRS 15 is the recognition of revenue at the moment of the transfer of goods or services to the customer, using a value reflecting the price expected to be received by the Group in return for the transfer of such goods or services. These rules are applied as part of the following five-step model:

- a contract with a customer has been identified,
- a performance obligation has been identified as part of the contract with the customer,
- the transaction price has been specified,
- the transaction price has been allocated to specific performance obligations,
- the moment of recognition of the revenue is the same as the moment of performance of the obligation under the contract.

Identification of a contract with a customer

The Group recognizes a contract with a customer only if all of the following criteria have been satisfied:

- the parties to the contract have entered into a contract (in writing or in compliance with other usual commercial practices) and are required to perform their obligations;
- the Group is able to identify the rights of each party related to the goods or services to be delivered;
- the Group is able to identify the payment terms for the goods or services to be delivered;
- the contract has economic content (i.e. it may be expected that as a result of the contract the risk, timing or amount of the Group’s future cash flows will be changed); and
- it is probable that the Group will receive remuneration which it will be entitled to in return for the goods or services that will be delivered to the customer.

When assessing whether the receipt of the amount of such remuneration is probable, the Group only considers the customer’s ability and intention to pay the remuneration amount in a timely manner. The remuneration amount payable to the Group may be lower than the price specified in the contract if the remuneration is variable, because the Group may offer the customer a price discount.

Identification of performance obligations

Upon execution of the contract, the Group measures the goods or services promised to be delivered in the contract with the customer and identifies as a performance obligation any promise to deliver to the customer a good or service (or a bundle of goods or services) that may be separated out or groups of separate goods or services that are basically the same and for which their delivery to the customer is of the same nature.

The good or service promised to be delivered to the customer is separate in nature if both of the following conditions are satisfied:

- the customer may benefit from the good or service either directly or through its being connected to other resources that are readily available to the customer, and
- the Group's obligation to transfer the good or service to the customer may be identified as separate from the other obligations specified in the contract.

Determination of the transaction price

In order to determine the transaction price, the Group takes into account the terms of the contract and the customary commercial practices. The transaction price is the amount of remuneration which, as the Group expects, will be payable in return for the delivery of the promised goods or services to the customer, with the exception of any amounts collected on behalf of third parties (for instance certain sales taxes).

Allocation of the transaction price to performance obligations

The Group allocates the transaction price to each performance obligation (or to a separate good or service) in an amount that reflects the amount of remuneration which, as the Group expects, is payable to it in return for the delivery of the promised goods or services to the customer.

Fulfillment of performance obligations

The Group recognizes revenue upon (or during) fulfillment of the performance obligation realized in the form of the delivery of the promised good or service to the customer.

As regards contracts for the provision of continuous services under which the Group is entitled to receive remuneration from the customer in an amount that directly corresponds to the value of the services provided to the customer to date, the Group recognizes revenue in the amount it is entitled to invoice.

The Group generates most of its revenue on sales of food and it is not obliged to accept returns of food products and goods sold. At the time of transferring an asset to a customer (the customer obtaining control over the asset), the Group does not expect the goods and products sold to be returned in the future. The Group does not enter into any contracts with customers that include variable amounts of consideration (revenue) resulting from discounts, rebates or performance bonuses granted and it does not extend options to customers to obtain additional goods or services free of charge or at a reduced price in the form of add-ons or loyalty points.

Remuneration of the principal and remuneration of the intermediary

In the event that any other entity is involved in the delivery of goods or services to the customer, the Group determines whether the nature of the Group's promise is that of a performance obligation (in which case the Group is the principal) or that of ordering another entity to deliver such goods or services (in which case the Group is the intermediary).

The Group is the principal if it exercises control over the promised good or service before it is delivered to the customer. However, the Group does not have to act as the principal if it obtains the legal title to the product only temporarily before it is delivered to the customer. The Group acting in the contract as the principal may itself fulfill the performance obligation or may entrust the fulfillment of this obligation in full or in part to another entity (e.g. a subcontractor) on its behalf. In such a situation, the Group recognizes revenue in the gross amount of the remuneration to which, as the Group expects, it is entitled in return for the delivered goods or services.

The Group acts as the intermediary if its performance obligation consists of ensuring the delivery of goods or services by another entity. In such a case, the Group recognizes revenue in the amount of any fee or commission to which, as the Group expects, it is entitled in return for ensuring the delivery of the goods or services by such other entity.

Receivables

Within the category of receivables, the Group recognizes rights to remuneration in return for the goods or services which it has delivered to the customer if the Group's right in this respect is unconditional (and the only condition of the remuneration becoming due and payable is the elapse of a specified period of time).

Contract liabilities

Within the category of contract liabilities, the Group recognizes remuneration received from or payable by a customer, which is related to the obligation to deliver certain goods or services to the customer.

Sale of services to the suppliers of goods and sale of other services

Revenues related to the benefits from the sale of services to suppliers of goods (e.g. marketing services) that are not identified as separate services are presented by the Group as a deduction in cost of goods purchased from such vendors. Revenue on sales of other services are presented as revenue on sales of products.

6.23.2. Revenues – accounting policy applied until 31 December 2017

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. Revenue is measured at fair value of the consideration received or receivable, net of value added tax (VAT) and trade discounts. The criteria presented below apply also to the recognition of revenues.

6.23.3. Sale of services to suppliers of goods and sale of other services

Revenues related to the benefits from the sale of services to suppliers of goods (e.g. marketing services) that are not identified as separate services are presented by the Group as a deduction in cost of goods purchased from such vendors. Revenue on sales of other services are presented as revenue on sales of products.

6.23.4. Sales of merchandise

Revenue is recognized when significant risks and rewards of ownership of goods and products have been transferred to the buyer and the revenue amount can be measured reliably.

6.23.5. Interest

Interest revenue is recognized gradually as it accrues (taking into account the effective interest rate method which serves as the discounting rate for future financial inflows during the estimated lifetime of financial instruments) in relation to the net carrying amount of a particular financial asset.

6.23.6. Dividends

Dividends are recognized when the shareholder's right to receive payment is established.

6.23.7. Revenue from leases (operating lease)

Revenues from leases of property are recognized using the straight-line method for the entire term of lease, in relation to active agreements.

6.23.8. Government grants and other grants (white certificates)

Government grants are recognized at their fair value where there is reasonable assurance that the grant will be received and all attaching conditions will be complied with.

If a grant relates to an expense item, it is recognized as other operating income over the period necessary to match the grant on a systematic basis to the costs that the grant is intended to compensate. Where the grant relates to an asset, the fair value is credited to a deferred revenue account and is gradually recognized in profit or loss over the expected useful life of the related asset by equal annual instalments.

6.24. Taxes

6.24.1. Current tax

Current tax liabilities and assets for the current and prior periods are measured at the amount expected to be paid to (recovered from) the taxation authorities, using the tax rates and tax laws that have been enacted or substantively enacted by the balance sheet date.

6.24.2. Deferred tax

For the purposes of financial reporting, deferred tax is calculated by using the method of balance sheet liabilities in relation to all temporary differences as at the balance sheet date between the tax value of assets and liabilities and their carrying amount shown in the consolidated financial statements.

Deferred tax liability is recognized for all taxable temporary differences:

- except to the extent that the deferred tax liability arises from the initial recognition of goodwill or the initial recognition of an asset or liability in a transaction which is not a business combination, and, at the time of the transaction, does not affect the net profit (loss) under financial accounting or tax accounting, and
- in the case of taxable temporary differences associated with investments in subsidiaries or associates, and interests in joint ventures, unless the investor is able to control the timing of the reversal of the temporary differences or it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognized in relation to all deductible temporary differences, unused tax credit, and unused tax losses brought forward in the amount of the probable taxable income which would allow these differences, assets and losses to be used:

- except to the extent that the deferred tax asset relating to deductible temporary differences arises from the initial recognition of an asset or liability in a transaction which is not a business combination, and, at the time of the transaction, does not affect profit or loss under financial accounting or tax accounting, and
- in the case of deductible temporary differences associated with investments in subsidiaries or associates and interests in joint ventures, the related deferred tax asset is recognized in the consolidated statement of financial position in the amount of the taxable income expected to be generated in the foreseeable future (as a result of the reversal of these temporary differences) which would enable the deductible temporary differences to be offset.

The carrying amount of a deferred tax asset is reviewed at each balance sheet date and is subject to appropriate reduction to the extent it is no longer probable that taxable income sufficient for a partial or full realization of this deferred tax asset would be generated. The unrecognized portion of the deferred tax asset is subject to reassessment at each balance sheet date and is recognized up to the amount reflecting the probability of generating future taxable income which will allow the asset to be recovered.

Deferred tax assets and deferred tax liabilities are measured using tax rates that are expected to be applied when the asset is realized or the liability is settled, taking as the basis the tax rates (and tax laws) in effect as at the end of the reporting period or the tax rates (and tax laws) whose future application is certain as at the end of the reporting period.

Income tax relating to items which are not recognized in profit or loss is not recognized in profit or loss but under other comprehensive income (income tax relating to items recognized in other comprehensive income) or directly in equity (income tax relating to items recognized directly in equity).

The Group offsets deferred tax assets and deferred tax liabilities if, and only if it has a legally enforceable right to set off the current tax receivables and liabilities and the deferred tax relates to the same taxpayer and the same fiscal authority.

6.24.3. Value added tax

Revenues, costs, assets and liabilities are recognized net of the amount of value added tax, except when:

- the value added tax paid on purchase of assets or services is not recoverable from the fiscal authorities, in which case it is recognized as part of the purchase price of the asset or as part of the cost item, as applicable, or

- receivables and liabilities are recognized inclusive of the value added tax.

The net amount of value added tax recoverable from, or payable to, the fiscal authority is shown as part of receivables or liabilities in the consolidated statement of financial position.

6.25. Earnings per share

Earnings per share for each period are calculated by dividing the net result for a particular period by the weighted average number of shares in that reporting period.

7. Correction of errors

An error was corrected in the current financial year with respect to the recognition of revenues and costs of transactions pertaining to press and mobile phone top ups in which, according to its revised judgment the Company acts as an intermediary (agent) while in the previous year the assumption had been erroneously made that the Company is the principal in these transactions. Accordingly, the Group should recognize in its revenue from sales only the sales commission forming the difference between the sales price and the cost of purchasing the merchandise in whose trading the Company acts as an intermediary. In connection with this, the comparative data were reduced by the amount of the revenues and costs as stated in the table below:

	<i>Approved data</i> 1 January 2017 – 31 December 2017	<i>Adjustment amount</i>	<i>Restated data</i> 1 January 2017 – 31 December 2017
Sales revenues	4,515,933	(53,098)	4,462,835
Cost of sales	(3,475,297)	(53,098)	(3,422,199)

8. Changes in accounting policies applied

The accounting principles (policies) used to draw up these financial statements are consistent with the ones that were used to draw up the Group's annual financial statements for the year ended 31 December 2017.

No other new or amended standards or interpretations that came into force for the first time in 2018 have any material impact on the Group's consolidated financial statements, either.

8.1. IFRS 15 "Revenue from contracts with customers" and IFRS 9 "Financial instruments"

The Group applied IFRS 9 "Financial instruments" and IFRS 15 "Revenue from contracts with customers" as of the effective date of these standards, without restating its comparative data. The introduction of these standards did not materially affect the Group's consolidated financial statements, hence the impact of their introduction has not been presented.

8.2. Other

a) Interpretation of IFRIC 22 Foreign currency transactions and advance consideration

The interpretation clarifies that the day when the entity initially recognizes the non-pecuniary asset or non-pecuniary liability ensuing from disbursing or receiving advance consideration is the transaction execution date for the purposes of determining the foreign exchange rate that is supposed to be applied at the time of initial recognition of a related asset, expenditure or income (or a part thereof). If there are multiple cases of disbursing or receiving advance payments, then the entity defines the transaction execution date for each case of disbursing or receiving an advance payment.

The interpretation does not have a material impact on the Group's consolidated financial statements.

b) *Changes to IAS 40 Transfers of investment property*

The amendments precisely state when an entity transfers a property, including a property under construction, to or from an investment property. The amendments clarify that a change occurs in the method of use in the event that a given property satisfies or ceases to satisfy the definition of investment property and there is evidence testifying to the change in the method of use. The mere change in the management's intention concerning the method of use does not constitute evidence testifying to a change in the method of use.

The changes do not have a material impact on the Group's consolidated financial statements.

c) *Amendments to IFRS 2 Classification and measurement of share-based payment transactions*

The International Accounting Standards Board (IASB) published changes to IFRS 2 *Share-based payments* in order to clarify the following areas: incorporating the vesting conditions and other conditions besides the vesting conditions in the measurement of share-based payment transactions cleared using cash, recognizing a share-based payment transaction featuring a net settlement of withholding tax liabilities, recognizing the modification of a share-based payment transaction that alters its classification from one settled in cash to one settled in equity instruments.

The changes do not have a material impact on the Group's consolidated financial statements.

d) *Amendments to IFRS 4 Applying IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts*

These amendments enable entities pursuing insurance activity to defer the effective date of IFRS 9 until 1 January 2021. The outcome of this deferral is that the interested entities may continue to prepare their financial statements in accordance with the standard in force, i.e. IAS 39.

These changes do not pertain to the Group.

e) *Amendments to IAS 28 Investments in Associates and Joint Ventures being part of the Annual Improvements to IFRS 2014-2016 Cycle*

The amendments precisely state that an entity that is an organization managing high risk capital, a mutual fund, a trust fund or some other similar entity, including one related to unit-linked investments may elect to measure an investment in an associate or joint venture at goodwill through the financial result according to IFRS 9. The entity makes a choice separately for each associate or joint venture at the time of the initial recognition of an associate or joint venture. If an entity that is not an investment entity itself has an interest in an associate or joint venture that are investment entities, the former entity may elect, by applying the equity method, to maintain the goodwill measurement used by that associate or joint venture that are investment entities in reference to interests in the associate or joint venture that are investment entities in subsidiaries. This choice is made separately for every investment associate or joint venture on the date of the following: a) the initial recognition of that associate or that joint venture that are investment entities; b) when that associate or joint venture becomes an investment entity; c) when that associate or joint venture that are investment entities become a parent company.

The changes do not have a material impact on the Group's consolidated financial statements.

f) *Amendments to IAS 1 First-time Adoption of International Financial Reporting Standards being part of the Annual Improvements to IFRS 2014-2016 Cycle*

The short-term exemptions from the application of other IFRS set forth in paragraphs E3-E7 of IFRS 1 have been deleted.

The changes do not have a material impact on the Group's consolidated financial statements.

The Group did not elect to apply any standard, interpretation or amendment earlier that has been published but has not yet taken force in light of the European Union regulations.

9. New standards and interpretations published but not effective

New standards and interpretations published by the International Accounting Standards Board (IASB) but are not yet effective:

- IFRS 14 *Regulatory Deferral Accounts* (published on 30 January 2014) – the European Commission decided not to propose the standard for endorsement in its preliminary version until the final standard is published – not endorsed by the EU until the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2016;
- Amendments to IFRS 10 and IAS 28 *Sales or contributions of assets between an investor and its associate/joint venture* (published on 11 September 2014) – the work leading to the endorsement of these amendments has been postponed by the EU indefinitely – the effective date has been postponed by the IASB for an indefinite period of time;
- IFRS 16 *Leases* (published on 13 January 2016) – effective for annual periods beginning on or after 1 January 2019;
- IFRS 17 *Insurance Contracts* (published on 18 May 2017) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2021;
- IFRIC 23 *Uncertainty over Income Tax Treatments* (published on 7 June 2017) – effective for annual periods beginning on or after 1 January 2019;
- Amendments to IFRS 9 *Prepayment features with negative compensations* (published on 12 October 2017) – effective for annual periods beginning on or after 1 January 2019;
- Amendments to IAS 28: *Long-term Interests in Associates and Joint Ventures* (published on 12 October 2017) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2019;
- *Annual Improvements to IFRS 2015-2017 Cycle* (published on 12 December 2017) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2019;
- Amendments to IAS 19 *Plan Amendment, Curtailment or Settlement* (published on 7 February 2018) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2019;
- *Amendments to References to the Conceptual Framework in International Financial Reporting Standards* (published on 29 March 2018) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2020;
- Amendment to IFRS 3 *Business Combinations* (published on 22 October 2018) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2020;
- Amendments to IAS 1 and IAS 8 *Definition of Material* (published on 31 October 2018) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2020.

9.1. Implementation of IFRS 16

In January 2016, the International Accounting Standards Board issued International Financial Reporting Standard 16 *Leases* (“IFRS 16”), which replaced IAS 17 *Leases*, IFRIC 4 *Determining Whether an Arrangement Contains a Lease*, SIC 15 *Operating Leases – Incentives* and SIC 27 *Evaluating the Substance of Transactions in the Legal Form of a Lease*. IFRS 16 sets out the principles of recognition of leases in respect to their measurement, presentation and disclosure.

IFRS 16 standard provides a single lessee accounting model, requiring lessees to recognize assets and liabilities for all leases unless the lease term is 12 months or less or the underlying asset has a low value. On the commencement date, a lessee recognizes an asset for the right to use the underlying asset and a lease liability that reflects its obligation to make lease payments.

The lessee recognizes separately the depreciation and amortization of the right-to-use asset and interest on the lease liability.

The lessee updates the measurement of the lease liability after specific events occur (e.g. changes in the lease term, changes in future lease payments resulting from a change in an index or rate used to calculate such payments). As a rule, the lessee recognizes the revaluation of the lease liability as an adjustment to the value of the right-to-use asset. The Group is a lessee in the case of lease agreements for store facilities and their infrastructure and lease of passenger cars, which is described in more detail in note 17.1.

The lessor's accounts under IFRS 16 remain substantially unchanged compared to the current accounting under IAS 17. The lessor will continue to account for all leases using the same classification principles as IAS 17, distinguishing between operating leases and finance leases.

IFRS 16 requires both the lessee and the lessor to make more extensive disclosures than IAS 17. The lessee has the right to choose a full or modified retrospective approach and the transitional provisions provide for certain practical solutions.

IFRS 16 is effective for annual periods beginning on or after 1 January 2019. Earlier application is permitted for the entities that apply IFRS 15 from or before the date of first application of IFRS 16. The Group has not elected the early application of IFRS 16.

The Group is planning to implement IFRS 16 using the modified retrospective method.

Summing up, the Group expects that the impact of implementation of IFRS 16 will be as follows:

Impact on equity (increase/decrease) as at 1 January 2019:

	<i>Adjustments</i>	<i>in thousands of PLN</i>
Assets		
Property, plant and equipment		63,115
- including perpetual usufruct right to land		4,563
Total assets		63,115
Liabilities		63,115
Non-current lease liabilities		53,865
Current lease liabilities		9,250
Total liabilities		63,115
Net impact on equity:		-

9.2. Implementation of the remaining standards and interpretations

As at the date of approval of these financial statements for publication, the Management Board has not yet completed the assessment of the impact that the application of the remaining standards and interpretations on the Group's accounting policies in the context of its operations and on its financial results.

10. Operating segments

The DINO Polska S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network.

Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the DINO Polska S.A. Group as a whole, only one operating segment has been isolated.

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	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
Revenue on sales of products and services	726,848	571,496
Revenue on sales of goods and materials	5,111,681	3,891,339
Total	5,838,529	4,462,835

Revenue on sales of meat products produced within the Group is presented as revenue on sales of products, while revenue on retail sales of goods purchased for further resale is presented as revenue on sales of goods. The Group does not have customers whose sales would amount to more than 10% of the total value of sales. The Group generated all sales revenues in Poland.

11. Revenues and costs

11.1. Revenue from contracts with customers

Revenue from contracts with customers includes revenue on sales of meat products manufactured within the Group and revenue from retail sales in the Dino store network. All revenue on sales is generated domestically within one operating segment, as described in Note 10.

11.2. Costs by nature:

	<i>Note</i>	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
Depreciation and amortization	11.3	112,058	85,872
Consumption of materials and energy		512,155	444,107
External services		238,042	169,583
Taxes and fees		30,207	23,908
Employee benefits	11.4	649,399	477,028
Other costs by nature		26,601	17,339
Cost of goods and materials sold		3,843,414	2,943,809
Total costs by nature, including:		5,411,876	4,161,646
Items captured in cost of sales		4,426,060	3,422,199
Items captured in sales and marketing expenses		933,663	678,687
Items captured in general administration expenses		52,635	60,025
Movement in products		(482)	735

11.3. Depreciation and amortization costs recognized in profit or loss

	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
<i>Items captured in cost of sales:</i>	<i>13,469</i>	<i>9,738</i>
Depreciation of fixed assets	13,469	9,738
<i>Items captured in sales and marketing expenses:</i>	<i>96,096</i>	<i>74,129</i>
Depreciation of fixed assets	95,293	73,421
Amortization of intangible assets	803	708
<i>Items captured in general administration expenses:</i>	<i>2,493</i>	<i>2,005</i>
Depreciation of fixed assets	712	330
Amortization of intangible assets	1,781	1,675

11.4. Employee benefits

	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
Salaries	526,441	376,143
Provisions for employee benefits, including:	6,492	17,531
- for unused holiday leave	5,936	6,926
- for retirement and disability benefits	556	272
- for the incentive program	-	10,333
Social security contributions	116,466	83,354
Total employee benefits, including:	649,399	477,028
Items captured in cost of sales	31,442	19,577
Items captured in sales and marketing expenses	584,057	429,707
Items captured in general administration expenses	33,900	27,744

11.5. Other operating income

	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
Impairment losses for receivables	35	5
Grants	589	669
Damages	1,169	1,454
Income for making timely payments PIT-4	119	76
Sales of PMEF certificates	684	109
Other	2,770	1,358
Total other operating income	5,366	3,671

Other operating income includes, among others, debit/credit notes.

11.6. Other operating expenses

	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
Impairment losses for receivables	86	140
Losses resulting from inventory shortages	492	294
Loss on resale of property, plant and equipment	1,273	1,322
Costs of litigation	-	3
Donations	371	40
Other	313	554
Total other operating expenses	2,535	2,353

Other operating expenses include, among others, damages.

11.7. Financial income

	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
Interest income from banks	320	122
Interest income on receivables	27	374
Foreign exchange gains	-	144
Other	-	15
Total financial income	347	655

11.8. Financial expenses

	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
Interest on bank loans	19,644	17,708
Interest on trade payables	18,331	14,541
Interest on other payables	35	11
Interest on bonds	3,011	656
Financial expenses of finance leases	3,873	4,432
Foreign exchange losses	14	-
Commissions	450	533
Other	13	-
Total financial expenses	45,371	37,881

Interest on trade payables includes amounts charged for discounting them

12. Income tax

12.1. Tax expense

The key tax expense item for the year ended 31 December 2018 and 31 December 2017 are as follows:

	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
Recognized in profit or loss		
<i>Current income tax</i>		
Current income tax expense	(72,743)	(45,108)
<i>Deferred tax</i>		
Related to occurrence and reversal of temporary differences	(3,681)	(7,304)
 Tax expense recognized in consolidated profit or loss	 (76,424)	 (52,412)
Consolidated statement of comprehensive income		
<i>Deferred tax</i>		
Tax on actuarial gains/losses	41	20
 Tax credit/(tax expense) recognized in other comprehensive income	 41	 20

12.2. Reconciliation of effective tax rate

The reconciliation of income tax on profit (loss) before tax at the statutory tax rate with income tax calculated at the Group's effective tax rate for the years ended 31 December 2018 and 31 December 2017 is as follows:

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	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
Profit before tax from continuing operations	383,978	266,016
Profit before tax	383,978	266,016
Tax at the statutory tax rate in Poland at 19% (in the comparative period: 19%)	(72,956)	(50,543)
Investment allowance for operating in a special economic zone	(9,900)	1,134
Tax effect of expenses related to the incentive system	-	(1,425)
Income and expense items that are never taxable or deductible	(13,368)	(1,578)
Tax at the effective tax rate	(76,424)	(52,412)
Income tax (expense) recognized in consolidated profit or loss	(76,424)	(52,412)

12.3. Deferred tax

Deferred tax is calculated on the basis of the following items:

	<i>Consolidated statement of financial position</i>		<i>Consolidated profit and loss account for the year ended</i>	
	<i>31 December 2018</i>	<i>31 December 2017</i>	<i>31 December 2018</i>	<i>31 December 2017</i>
<i>Deferred tax liability</i>				
Temporary difference in the value of fixed assets	19,644	13,642	6,002	1,803
Prepaid interest on loans received and interest accrued as at the balance sheet date	5,685	4,274	1,411	325
Provision for future income	7,510	4,734	2,776	1,833
Other	37	22	15	16
Presentation adjustment*	(26,953)	(19,177)	(7,776)	(5,980)
Deferred tax liability	5,923	3,495		
<i>Deferred tax assets</i>				
Impairment of receivables	-	-	-	(39)
Difference in measurement of inventories	11,893	8,603	3,290	3,699
Provisions for pension severance pay	368	267	101	12
Provision for unused holiday leave	4,209	3,569	640	1,155
Provision for other liabilities (e.g. energy, bonuses, audit of financial statements)	2,107	2,388	(281)	(470)
Mandate contracts paid in the subsequent year	160	199	(39)	115
Social security contributions	3,737	2,841	896	959
Other (including foreign exchange losses, accrued interest)	3,952	2,684	1,268	(479)
Losses deductible from future taxable income	246	2,544	(2,298)	(340)
Temporary difference in the value of fixed assets	3,864	3,467	397	294
Allowance on the amount of eligible capital expenditures for business in a Special Economic Zone	12,724	4,000	8,724	-
Prepaid rents	-	6,175	(6,175)	(8,233)
Presentation adjustment*	(26,953)	(19,177)	(7,776)	(5,980)
Deferred tax assets	16,307	17,560		
Deferred tax expense			(3,681)	(7,304)

* The presentation adjustment is associated with offsetting the deferred tax asset and liability at the level of distinct member companies of the group.

In its calculation of deferred income tax, in 2013 the Group recognized a deferred tax asset on the amount of prepaid rents for the lease of investment property within the Group. According to analysis performed by the Management Board, tax regulations stipulate that prepaid rents became taxable revenue on the date of their receipt, whereas tax-deductible expense is settled throughout the term of the lease agreement. For balance sheet purposes, this transaction is canceled out by way of consolidation exclusions, thus a negative difference emerges between the carrying amount and the taxable amount of the prepayments at the Group level. As at 31 December 2018, the

value of the deferred tax asset on account of these prepayments was PLN 0 thousand (PLN 6,175 thousand as at 31 December 2017).

In 2015, the Management Board made a decision to concentrate its marketing and trademark management activities in Pol-Food Polska sp. z o.o., a company which had previously been engaged in private label management activities within the Group. As a result of this decision, intangible assets in the form of “Dino” and “Agro-Rydzyna” trademarks were transferred to Pol-Food Polska sp. z o.o. Also transferred to this company were employees in charge of discharging those functions who had previously been employed by other member companies of the Group. Among the reasons for the reorganization decision was the objective to create within the Group an entity specialized in carrying out marketing and trademark management activities. The utilization of existing competence of the staff of Pol-Food Polska sp. z o.o. reinforced by that of other companies’ employees is intended to enable the creation, within the Group, of a professional competence center streamlining the Group’s operations, reducing its operating expenses and ensuring better legal protection for its trademarks. Transactions related to the transfer of the said trademarks to Pol-Food Polska sp. z o.o. were effected on the basis of the fair values of the trademarks as at the transaction date. These values were also used as the basis for the depreciation of the trademarks for tax purposes by the entity that became their new owner as a result of the reorganization. Consequently, a negative temporary difference was created between the carrying amount and the tax value of these trademarks. The Management Board estimated future tax results of both Pol-Food Polska sp. z o.o. and the Group and applied its discretion to the possibility of recognizing trademark depreciation charges as tax-deductible expenses. In 2018 Pol – Food Polska sp. z o.o. was merged with Dino Polska S.A.

In 2016 the Company received a dividend from a subsidiary in which the Company holds 100% of its shares. The dividend was tax exempt because the Company holds 100% of its shares for more than 2 years (according to Article 22 of the Corporate Income Tax Act).

The Management Board analyzed the possibility of tax settlement of the above transactions in the adopted manner and on the basis of the documentation in its possession regarding binding tax interpretations and professional judgment, and entered these transactions in the ledgers and consolidated financial statements in accordance with the above description. It should be pointed out in this context that the Management Board keeps monitoring the interpretations issued by the competent authorities and the legislative changes being introduced in Poland, meaning that it cannot be ruled out that the Management Board’s estimates or judgments as to the suitability of the above approach get modified in the future.

Pursuant to permit no. 204 of 29 October 2010 and permit no. 289 of 14 April 2014 issued by Wałbrzyska Specjalna Strefa Ekonomiczna “INVEST-PARK” sp. z ograniczoną odpowiedzialnością as the administrator the Wałbrzych Special Economic Zone, Dino Krotoszyn sp. z o.o. is covered by an exemption from corporate income tax applicable to the company’s business referred to in these permits.

Pursuant to permit no. 157/LSSE of 5 July 2017 issued by Legnicka Specjalna Strefa Ekonomiczna S.A. [Legnica Special Economic Zone], Dino Południe sp. z o.o. is covered by an exemption from corporate income tax applicable to the company’s business referred to in this permit.

The said exemptions are contingent in nature. The use of an exemption covering a business conducted in a Special Economic Zone may be the subject matter of an inspection by competent authorities. If the inspection reveals that the company fails or will fail in the future to satisfy all pertinent requirements, it may have the exemptions withdrawn and be required to pay overdue tax liabilities with interest. The provisions of the Special Economic Zones Act stipulate that the right to an exemption may be revoked if any of the following circumstances occurs:

- the company ceases to conduct its business within the area of the zone in respect of which the permit was issued,
- the company grossly fails to satisfy the conditions set forth in the permit,
- the company fails to remove any deficiencies ascertained during the inspection by the time limit for their removal specified in the summons issued by the minister in charge of the economy,
- the company transfers in any form the ownership of the assets to which the tax exemption applied within a period of less than 5 years from the date of their entry in the accounting records,
- any machinery or equipment is apportioned to conduct any business outside the zone,
- the company receives a refund of the incurred capital expenditures in any form,
- the company is put under liquidation or is declared bankrupt

The occurrence of these circumstances may cause that the amounts carried in the financial statements may be subject to change at a later date after they are ultimately determined by the tax authorities. The Group recognized an asset by virtue of unused tax credits in the amount of PLN 12,724 thousand (in 2017: PLN 4,000 thousand). This asset was recognized on the basis of revenues forecasted for a 5-year period, reflecting projections about the future. The basis for calculating the maximum intensity of aid is 40% of eligible expenses.

Taxable income was calculated on the basis of the Group's long-term plans assuming an increase in sales and higher production capacities owing to ongoing investments.

13. Non-current assets classified as held for sale

As at 31 December 2018 and 31 December 2017, no non-current assets were classified as held for sale.

14. Earnings per share

Basic earnings per share shall be calculated by dividing consolidated net profit for the period attributable to ordinary owners of the parent by the weighted average number of ordinary shares outstanding during the period. The Group does not have any diluting instruments in place.

	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
Net profit attributable to ordinary shareholders	307,554	213,604
Number of shares used for the calculation (000s)	98,040	98,040
Earnings per share	3.14	2.18

15. Dividends distributed and proposed for distribution

In the period from 1 January 2018 to 31 December 2018 subsidiary Pol – Food Polska sp. z o.o. paid out dividends to its shareholders in the total amount of PLN 56,223 thousand. In 2017 the parent company and the subsidiaries did not pay out a dividend. The consolidated financial statements were prepared prior to the adoption of the resolution to distribute profit for the current year. The Company's Management Board will propose to allocate the profit for the year to the Company's supplementary capital.

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16. Property, plant and equipment

Year ended 31 December 2018	<i>Land and buildings</i>	<i>Machinery and equipment</i>	<i>Means of transport</i>	<i>Other fixed assets</i>	<i>Fixed assets under construction</i>	<i>Total</i>
Gross value as at 1 January 2018	1,420,013	264,983	42,622	185,734	71,509	1,984,861
Purchases	-	-	-	-	761,709	761,709
Sales	-	(718)	(354)	(13)	(1)	(1,086)
Liquidations	(531)	(3,239)	(1,047)	(6,100)	(1,045)	(11,962)
Transfer from fixed assets under construction	532,091	129,423	20,881	55,840	(738,235)	-
Gross value as at 31 December 2018	1,951,573	390,449	62,102	235,461	93,937	2,733,522
Accumulated depreciation and impairment losses as at 1 January 2018	88,735	101,811	11,373	85,342	-	287,261
Depreciation charge for the period	32,876	35,468	8,413	32,610	-	109,367
Sales	-	(440)	(321)	(9)	-	(770)
Liquidation	(53)	(2,517)	(597)	(6,194)	-	(9,361)
Accumulated depreciation and impairment losses as at 31 December 2018	121,558	134,322	18,868	111,749	-	386,497
Net value as at 1 January 2018	1,331,278	163,172	31,249	100,392	71,509	1,697,600
Net value as at 31 December 2018	1,830,015	256,127	43,234	123,712	93,937	2,347,025

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Year ended 31 December 2017	<i>Land and buildings</i>	<i>Machinery and equipment</i>	<i>Means of transport</i>	<i>Other fixed assets</i>	<i>Fixed assets under construction</i>	<i>Total</i>
Gross value as at 1 January 2017	1,116,955	207,081	25,458	155,795	41,306	1,546,595
Purchases	-	-	-	-	454,923	454,923
Sales	(5,845)	(1,343)	(171)	(1,122)	-	(8,481)
Liquidations*	(380)	73	(699)	(5,429)	(1,741)	(8,176)
Transfer from fixed assets under construction	309,283	59,172	18,034	36,490	(422,979)	-
Gross value as at 31 December 2017	1,420,013	264,983	42,622	185,734	71,509	1,984,861
Accumulated depreciation and impairment losses as at 1 January 2017	63,457	75,182	6,162	64,587	-	209,388
Depreciation charge for the period	25,450	26,624	5,967	25,448	-	83,489
Sales	(170)	(3)	(121)	(44)	-	(338)
Liquidation*	(2)	8	(635)	(4,649)	-	(5,278)
Accumulated depreciation and impairment losses as at 31 December 2017	88,735	101,811	11,373	85,342	-	287,261
Net value as at 1 January 2017	1,053,498	131,899	19,296	91,208	41,306	1,337,207
Net value as at 31 December 2017	1,331,278	163,172	31,249	100,392	71,509	1,697,600

* The line item entitled liquidation of machinery and equipment includes the reclassification between groups of current fixed assets.

The carrying amount of fixed assets used as at 31 December 2018 under finance leases was PLN 169,570 thousand.

The carrying amount of fixed assets used as at 31 December 2017 under finance leases was PLN 187,721 thousand.

The subject matter of the executed lease agreements is predominantly the equipment used in the stores and warehouses and the acquisition of cars, refrigerated trailers and forklifts. The initial payment under such agreements does not exceed 10%. The breakdown of liabilities under lease agreements is presented in note 16.

Bank loan agreements entered into by the Group required the establishment of collateral on its assets (note 25).

17. Leases

17.1. Finance lease liabilities

As at 31 December 2018 and 31 December 2017, the future minimum lease payments under these agreements and the present value of the minimum net lease payments were as follows:

	<i>31 December 2018</i>		<i>31 December 2017</i>	
	<i>Minimum payments</i>	<i>Current value of lease payments</i>	<i>Minimum payments</i>	<i>Current value of lease payments</i>
Within 1 year	47,918	44,839	47,418	43,551
From 1 to 5 years	69,941	67,088	88,321	84,172
Over 5 years	-	-	-	-
Total minimum lease payments	117,859		135,739	
Minus financial expenses	(5,932)		(8,016)	
Present value of the minimum lease payments, including:	111,927		127,723	
Current	44,839		43,551	
Non-current	67,088		84,172	

The executed lease agreements provide for an option to acquire the leased assets after the lease term.

17.2. Future minimum lease payments under operating leases (lease agreements):

As at 31 December 2018 and 31 December 2017, the future minimum lease payments under operating leases (lease agreements) were as follows:

	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
Within a year	24,515	20,744
From one to five years	31,436	33,236
Over five years	8,638	12,842
	64,589	66,822

Under operating leases, the Group leases roughly 11% of the total number of its stores and also its warehouse facilities. The lease agreements for the stores are executed for a definite term with an extension option for an indefinite term. The lease agreement for the warehouse facility in Piotrków Trybunalski is executed for a definite term until 2019 but provides for an extension option. A minor portion of the stores is covered by contingent fees dependent on the amount of generated revenues.

18. Intangible assets

Year ended 31 December 2018	<i>Goodwill</i>	<i>Trademarks</i>	<i>Other intangible assets</i>	<i>Total intangible assets</i>
Gross value as at 1 January 2018	64,989	17,025	20,788	102,802
Purchases	-	-	4,941	4,941
Liquidations	-	-	-	-
Gross value as at 31 December 2018	64,989	17,025	25,729	107,743
Depreciation and impairment losses as at 1 January 2018	-	-	10,028	10,028
Depreciation charge for the period	-	-	2,691	2,691
Liquidations	-	-	-	-
Depreciation and impairment losses as at 31 December 2018	-	-	12,719	12,719
Net value as at 1 January 2018	64,989	17,025	10,760	92,774
Net value as at 31 December 2018	64,989	17,025	13,010	95,024

Year ended 31 December 2017	<i>Goodwill</i>	<i>Trademarks</i>	<i>Other intangible assets</i>	<i>Total intangible assets</i>
Gross value as at 1 January 2017	64,989	17,025	18,703	100,717
Purchases	-	-	2,085	2,085
Liquidations	-	-	-	-
Gross value as at 31 December 2017	64,989	17,025	20,788	102,802
Depreciation and impairment losses as at 1 January 2017	-	-	7,645	7,645
Depreciation charge for the period	-	-	2,383	2,383
Liquidations	-	-	-	-
Depreciation and impairment losses as at 31 December 2017	-	-	10,028	10,028
Net value as at 1 January 2017	64,989	17,025	11,058	93,072
Net value as at 31 December 2017	64,989	17,025	10,760	92,774

Other intangible assets consist of acquired licenses and software depreciated in accordance with the rules adopted by the Group.

Under its intangible assets, the Group presents goodwill and trademarks of an indefinite useful life. The Group considers the trademarks of “DINO” and “Agro-Rydzyna” to be recognizable trademarks on the market and intends to use them in its operations during an indefinite period of time. Accordingly, the Group assumes that the useful life of these trademarks is indefinite and hence that they are not subject to depreciation.

According to the Management Board’s judgment, goodwill from the acquisition of Agro-Rydzyna Sp. z o.o. and the values of the trademarks should be considered from the Group’s perspective as a whole and, accordingly, should be allocated to the highest cash generation center, which is the whole Group. Based on this assumption, a test was performed for impairment of intangible assets and goodwill in compliance with the requirements arising from IAS 36. The center’s recoverable amount was calculated by applying the useful value computed on the basis

of cash flow projections derived from the financial budgets covering a period of five years, as approved by senior management. As part of the impairment tests, the recoverable amount of the cash flow generating center was compared to the center's carrying amount.

The test demonstrated that neither as at 31 December 2018 nor as at any other date covered by these consolidated financial statements there was no impairment in respect of goodwill or the trademarks.

Key assumptions applied to the calculation of the recoverable amount

- the center's recoverable amount was calculated by applying the useful value computed on the basis of cash flow projections derived from the financial budgets covering a period of five years, as approved by senior management,
- the operating profit margin is based on the average values generated in the most recent period and the Group's Strategy adopted for 2019-2023; the adopted average operating profit margin in the forecast period is 7%,
- the rate of growth in the residual period was assumed at 2%,
- a discount rate before the tax effect of 6.94% was applied to the cash flow forecasts.

Sensitivity to changes in assumptions

Management is of the opinion that no reasonably possible change to any of the key assumptions described above will result in the carrying amount of the pertinent center to be equal to its recoverable amount.

The Management Board has conducted a sensitivity analysis and has assessed that no probable or reasonable change of key assumptions would precipitate a surplus of the carrying amount over the economic value.

19. Other non-financial assets

	<i>31 December 2018</i>	<i>31 December 2017</i>
Fiscal receivables (including VAT, net of CIT)	73,858	32,642
Rents	36	49
Insurance	2,009	1,097
Other prepayments and accruals	602	651
Total	76,505	34,439
- current	76,483	34,409
- non-current	22	30

20. Inventories

	<i>31 December 2018</i>	<i>31 December 2017</i>
Materials (at cost)	15,457	7,654
Finished products (at production cost)	4,499	4,981
Merchandise (as cost)	425,401	355,627
Total inventories, at the lower of the following two values: purchase price (production cost) and net realizable value	445,357	368,262

The Company conducts a periodic inventory of inventories. To restate them at the end of the period the inventory provision is estimated. As at 31 December 2018, the value of this provision was PLN 12,623 thousand (PLN 8,197 thousand as at 31 December 2017).

21. Trade and other receivables

	<i>31 December 2018</i>	<i>31 December 2017</i>
Trade receivables from third parties	16,715	32,697
Trade receivables from related parties	238	134
Other receivables from third parties	5,125	5,145
Other receivables from related parties	33	15
Total receivables (net)	22,111	37,991
Impairment loss for receivables	(292)	(451)
Gross receivables	22,403	38,442

The terms of the transactions with related parties are presented in note 31.

Other receivables comprise mainly investment receivables. Trade receivables usually have a 14-day term of payment and include predominantly receivables from suppliers associated with marketing campaigns.

The Group has an appropriate policy in place governing its transactions with business partners. For this reason, in the opinion of management, there is no additional credit risk extending beyond the level delineated by the impairment loss on uncollectible receivables applicable to the Group's trade receivables.

As at 31 December 2018, trade and other receivables of PLN 292 thousand (PLN 451 thousand as at 31 December 2017) were considered uncollectible receivables and thus covered by the impairment loss. Changes in the impairment loss on receivables were as follows:

	<i>31 December 2018</i>	<i>31 December 2017</i>
Impairment loss as at 1 January	451	545
Increase	86	140
Utilization	(210)	(229)
Reversal	(35)	(5)
Impairment loss as at 31 December	292	451

22. Cash and cash equivalents

Cash at bank bears interest at variable interest rates depending on the rate of interest on one-day bank deposits. Short-term deposits are made for various periods of between one day and one month, depending on the Group's current need for cash, and bear interest at the interest rates set for them. As at 31 December 2018, the fair value of cash and cash equivalents was PLN 285,361 thousand (as at 31 December 2017: PLN 202,626 thousand).

The balance of cash and cash equivalents shown in the consolidated statement of cash flows included the following items:

	<i>31 December 2018</i>	<i>31 December 2017</i>
Cash at bank and in hand	82,331	71,130
Short-term deposits	186,589	106,207
Other cash (cash in transit due to card payments)	16,441	25,289
Total	285,361	202,626

23. Share capital

23.1. Share capital

	<i>31 December 2018</i>	<i>31 December 2017</i>
Ordinary series A shares (units)	98,040,000	98,040,000

23.1.1. Nominal value of shares

As at 31 December 2018 and 31 December 2017, all outstanding shares in the Group were paid up in full.

23.1.2. Major shareholders

31 December 2018

<i>Shareholder</i>	<i>Number of shares</i>	<i>Percentage of share capital</i>	<i>Percentage of votes at the Shareholder Meeting</i>
Tomasz Biernacki with a subsidiary	50,103,000	51.1%	51.1%
Other shareholders	47,937,000	48.9%	48.9%
Total	98,040,000	100.0%	100.0%

31 December 2017

<i>Shareholder</i>	<i>Number of shares</i>	<i>Percentage of share capital</i>	<i>Percentage of votes at the Shareholder Meeting</i>
Tomasz Biernacki with a subsidiary	50,103,000	51.1%	51.1%
Other shareholders	47,937,000	48.9%	48.9%
Total	98,040,000	100.0%	100.0%

24. Supplementary capital and retained earnings

Supplementary capital was created from profits generated by all member companies of the Group in previous financial years. During the year ended 31 December 2018, supplementary capital increased by PLN 195,413 thousand following the distribution of profits generated by the Group's members. During the year ended 31 December 2017, supplementary capital increased by PLN 601,140 thousand following the distribution of profits generated by the Group's members.

24.1. Retained earnings and restrictions on dividend distributions

The Group's retained earnings comprise undistributed profits of the Group's member companies. Under the retained earnings heading, the Group also recognizes effects of consolidation adjustments on capital. This type of capital also includes amounts that are not distributable, meaning that they are not permitted to be disbursed as dividends.

The annual financial statements of DINO Polska S.A. have been prepared in compliance with Polish accounting standards. Any dividend may be distributed only based on the profit disclosed the standalone annual financial statements prepared for the purposes provided for in the Company's articles of association.

In compliance with the requirements of the Commercial Company Code, the parent company is required to create supplementary capital to cover future losses. At least 8% of the profit generated in any financial year, as disclosed in the standalone financial statements of the parent company, is transferred to this category of capital until it

reaches at least one-third of the parent company's share capital. The use of supplementary capital or reserve capital is at the discretion of the Shareholder Meeting, albeit part of the supplementary capital equal to one-third of the share capital may be used only to cover the loss disclosed in the parent entity's standalone financial statements and may not be used for any other purposes.

Some of the Group companies are parties to loan agreements which entail certain restrictions on the disbursement of dividends, meaning that no dividend disbursements are permitted unless no financial ratios are breached as a result.

25. Interest-bearing loans, borrowings and lease liabilities

	<i>31 December 2018</i>	<i>31 December 2017</i>
Current		
Finance lease liabilities (note 17.1)	44,839	43,551
Investment loans	93,952	66,232
Loans to finance current activity	9,455	6,867
Borrowing	430	424
Issue of debt securities	654	654
	149,330	117,728
Non-current		
Finance lease liabilities (note 17.1)	67,088	84,172
Investment loans	495,050	361,359
Loans to finance current activity	22,569	24,008
Borrowing	621	1,051
Issue of debt securities	99,829	99,749
	685,157	570,339

Lease agreements and loan agreements bear interest at a variable WIBOR rate plus a margin.

The following tables present material terms and conditions of loan agreements, including any collateral established on the Group's assets.

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<i>Type of liability</i>	<i>Date agreement signed</i>	<i>Balance of liability as at</i>	<i>Interest rate</i>	<i>Date of repayment</i>	<i>Collateral type</i>
		<i>31 December 2018*</i> (thousands of PLN)			
1. Credit facility with mBank	2013-11-22	1,770	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
2. Credit facility with mBank	2012-03-08	4,539	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
3. Credit facility with PKO BP	2012-01-26	-	WIBOR + margin	2019-10-28	joint contractual mortgage, assignment of rights to an insurance policy
4. Credit facility with PKO BP	2011-04-13	2,579	WIBOR + margin	2021-04-12	joint contractual mortgage, assignment of rights to an insurance policy
5. Credit facility with PKO BP	2013-05-23	32,500	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
6. Credit facility with PKO BP	2016-10-25	47,248	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
7. Credit facility with BZ WBK	2018-02-19	66,310	WIBOR + margin	2023-02-18	joint contractual mortgage, assignment of rights to an insurance policy
8. Credit facility with mBank	2014-01-09	15,327	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
9. Credit facility with ING	2014-04-15	29,170	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
10. Credit facility with Bank Millennium	2014-12-18	7,167	WIBOR + margin	2020-06-17	joint contractual mortgage, assignment of rights to an insurance policy
11. Credit facility with mBank	2015-04-17	16,025	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy
12. Credit facility with ING	2014-04-15	-	WIBOR + margin	2020-04-14	joint contractual mortgage, assignment of rights to an insurance policy
13. Credit facility with Millennium	2018-08-09	28	WIBOR + margin	2021-08-08	joint contractual mortgage, assignment of rights to an insurance policy
14. Credit facility with mBank	2016-08-16	3,753	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
15. Credit facility with mBank	2016-04-11	-	WIBOR + margin	2019-10-08	joint contractual mortgage, assignment of rights to an insurance policy
16. Credit facility with Millennium	2016-05-12	24,858	WIBOR + margin	2021-05-11	joint contractual mortgage, assignment of rights to an insurance policy
17. Borrowing from Siemens	2016-02-24	1,051	WIBOR + margin	2021-02-28	bill of exchange
18. Credit facility with PKO BP	2016-10-25	134,118	WIBOR + margin	2025-04-24	joint contractual mortgage, assignment of rights to an insurance policy
19. Credit facility with ING	2016-04-15	17,186	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
20. Credit facility with BGŻ BNP Paribas	2017-03-20	-	WIBOR + margin	2019-03-19	joint contractual mortgage, assignment of rights to an insurance policy
21. Credit facility with BGŻ BNP Paribas	2017-03-20	80,000	WIBOR + margin	2025-12-31	joint contractual mortgage, assignment of rights to an insurance policy
22. Credit facility with BGŻ BNP Paribas	2018-11-13	-	WIBOR + margin	2020-11-13	statement of submitting to enforcement under art. 777
23. Credit facility with PKO BP	2018-01-15	13,883	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
24. Credit facility with mBank	2011-12-14	2,986	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
25. Credit facility with BZ WBK	2016-05-24	25,104	WIBOR + margin	2021-04-30	joint contractual mortgage, assignment of rights to an insurance policy
26. Credit facility with mBank	2016-08-16	22,970	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
27. Credit facility with ING	2016-04-15	24,527	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
28. Credit facility with ING	2018-07-03	50,000	WIBOR + margin	2026-07-02	joint contractual mortgage, assignment of rights to an insurance policy
29. Credit facility with Bank Handlowy CITI	2018-10-03	-	WIBOR + margin	2021-10-01	joint contractual mortgage, assignment of rights to an insurance policy
TOTAL		623,099			

* Balance of liabilities net of commissions.

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In addition, the liabilities for loans and lease agreements also have security interests in the form of blank bills of exchange.

<i>Type of liability</i>	<i>Date agreement signed</i>	<i>Balance of liability as at 31 December 2017* (thousands of PLN)</i>	<i>Interest rate</i>	<i>Date of repayment</i>	<i>Collateral type</i>
1. Credit facility with mBank	2013-11-22	2,136	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
2. Credit facility with mBank	2012-03-08	6,052	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
3. Credit facility with PKO BP	2012-01-26	-	WIBOR + margin	2018-10-28	joint contractual mortgage, assignment of rights to an insurance policy
4. Credit facility with PKO BP	2011-04-13	3,788	WIBOR + margin	2021-04-12	joint contractual mortgage, assignment of rights to an insurance policy
5. Credit facility with PKO BP	2013-05-23	44,236	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
6. Credit facility with PKO BP	2016-10-25	56,149	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
7. Agreement for an accounts receivable limit with Raiffeisen	2011-12-20	-	WIBOR + margin	2018-11-30	assignment of accounts receivable on account of card payments
8. Credit facility with BZ WBK	2012-07-31	21,568	WIBOR + margin	2022-07-31	joint contractual mortgage, assignment of rights to an insurance policy
9. Credit facility with BZ WBK	2014-02-20	10,964	WIBOR + margin	2019-02-28	joint contractual mortgage, assignment of rights to an insurance policy
10. Credit facility with mBank	2014-01-09	18,512	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
11. Credit facility with ING	2014-04-15	37,502	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
12. Credit facility with Bank Millennium	2014-12-18	10,252	WIBOR + margin	2020-06-17	joint contractual mortgage, assignment of rights to an insurance policy
13. Credit facility with mBank	2015-04-17	18,590	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy
14. Credit facility with BZ WBK	2015-02-05	20,774	WIBOR + margin	2020-01-31	joint contractual mortgage, assignment of rights to an insurance policy
15. Credit facility with BZ WBK	2014-07-31	3,050	WIBOR + margin	2019-07-31	joint contractual mortgage, assignment of rights to an insurance policy
16. Credit facility with ING	2014-04-15	-	WIBOR + margin	2018-04-14	joint contractual mortgage, assignment of rights to an insurance policy
17. Credit facility with Millennium	2012-04-27	-	WIBOR + margin	2018-06-25	joint contractual mortgage, assignment of rights to an insurance policy
18. Credit facility with BZ WBK	2016-09-30	19,441	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
19. Credit facility with mBank	2016-08-16	4,269	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
20. Credit facility with mBank	2016-04-11	-	WIBOR + margin	2018-10-09	joint contractual mortgage, assignment of rights to an insurance policy
21. Credit facility with Millennium	2016-05-12	20,623	WIBOR + margin	2021-05-11	joint contractual mortgage, assignment of rights to an insurance policy
22. Borrowing from Siemens	2016-02-24	1,475	WIBOR + margin	2021-02-28	bill of exchange
23. Credit facility with PKO BP	2016-10-25	35,104	WIBOR + margin	2025-04-24	joint contractual mortgage, assignment of rights to an insurance policy
24. Credit facility with ING	2016-04-15	18,745	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
25. Credit facility with BGŻ BNP Paribas	2017-03-20	-	WIBOR + margin	2019-03-19	joint contractual mortgage, assignment of rights to an insurance policy
26. Credit facility with BGŻ BNP Paribas	2017-03-20	22,262	WIBOR + margin	2027-03-19	joint contractual mortgage, assignment of rights to an insurance policy
27. Credit facility with PKO BP	2016-10-25	10,022	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
28. Credit facility with mBank	2011-12-14	4,106	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
29. Credit facility with mBank	2009-12-22	-	WIBOR + margin	2018-11-01	joint contractual mortgage, registered pledge on inventories, assignment of rights to an insurance policy
30. Credit facility with BZ WBK	2016-05-24	28,307	WIBOR + margin	2021-04-30	joint contractual mortgage, assignment of rights to an insurance policy
31. Credit facility with mBank	2016-08-16	26,570	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
32. Credit facility with ING	2016-04-15	16,317	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
TOTAL		460,814			

* Balance of liabilities net of commissions.

In addition, the liabilities for loans and lease agreements also have security interests in the form of blank bills of exchange.

26. Provisions for employee benefits

The Group's entities pay retiring employees retirement severance benefits in the amount defined by the Labor Code. Consequently the Group, based on a valuation prepared by a professional actuary firm, recognizes a provision for the current value of the retirement severance benefit liabilities.

A summary of the benefits, provision amount and reconciliation presenting the changes of the balance during the financial period is presented in the table below:

	<i>Retirement and disability benefits</i>	<i>Benefits under the incentive program</i>	<i>Total</i>
Opening balance as at 1 January 2018	1,581	-	1,581
Current service cost	271	-	271
Actuarial gains and losses	215	-	215
Benefits paid	(27)	-	(27)
Interest costs	51	-	51
Closing balance as at 31 December 2018	2,091	-	2,091
Short-term provisions	541	-	541
Long-term provisions	1,550	-	1,550

	<i>Retirement and disability benefits</i>	<i>Benefits under the incentive program</i>	<i>Total</i>
Opening balance as at 1 January 2017	1,341	5,666	7,007
Current service cost	91	-	91
Actuarial gains and losses	107	-	107
Benefits paid	(5)	(5,666)	(5,671)
Interest costs	47	-	47
Closing balance as at 31 December 2017	1,581	-	1,581
Short-term provisions	350	-	350
Long-term provisions	1,231	-	1,231

The detailed provisions of the incentive programs have been presented in the Company's prospectus, as approved by KNF on 17 March 2017, and in the Company's financial statements for 2016.

The main assumptions made to value the employee benefits as at the reporting date are as follows:

	31 December 2018	31 December 2017
Discount rate (%)	2.60%	3.20%
Anticipated inflation rate	2.50%	2.50%
Employee turnover	20.00%	14.20%
Anticipated salary increase rate	3.50%	3.50%
Weighted average duration of the old-age and disability severance pay liabilities	6.40	8.14

Sensitivity analysis

Change of the adopted discount rate by 0.5 percentage points:

	<i>Increase (thousands of PLN)</i>	<i>Decrease (thousands of PLN)</i>
31 December 2018		
Impact on the defined benefit liabilities	(65)	68
31 December 2017		
Impact on the defined benefit liabilities	(62)	67

Change of the salary increase rate by 0.5 percentage points:

	<i>Increase (thousands of PLN)</i>	<i>Decrease (thousands of PLN)</i>
31 December 2018		
Impact on the defined benefit liabilities	70	(68)
31 December 2017		
Impact on the defined benefit liabilities	68	(64)

27. Trade and other payables and deferred revenue

27.1. Trade and other financial payables (short-term)

	31 December 2018	31 December 2017
Payables to related entities	4,950	3,657
Payables to other entities	685,749	585,625
Payables to other entities in factoring, including programs to finance suppliers	176,643	74,246
Trade payables	867,342	663,528
Employee payroll liabilities	43,519	33,242
Investment liabilities to related parties	90,897	45,680
Investment liabilities to other parties	90,672	21,266
Other payables	1,899	1,782
Other liabilities	226,987	101,970
Total	1,094,329	765,498

Rules and terms of payment of the aforementioned financial liabilities:

The terms of the transactions with related entities are presented in note 31 of Notes and explanations.

The trade payables are carried as at the balance sheet date based on the adjusted purchase price (note 6.18) and settled according to diversified terms ranging from 14 to 60 days, depending on the subject matter of the transaction. The Group classifies reverse factoring liabilities as trade payables because, in the Management Board's view, no significant changes have occurred in the nature of these liabilities in connection with their transfer to factoring.

Other liabilities are usually settled with a 30-day payment term.

27.2. Other non-financial liabilities

	<i>31 December 2018</i>	<i>31 December 2017</i>
Liabilities on taxes, customs duties, social security and other dues		
Corporate income tax	67,004	20,729
VAT	820	12,157
Personal income tax	7,614	5,692
Social security liabilities	35,772	26,973
Other	3,639	1,272
Total	114,849	66,823
- current	114,609	66,553
- non-current	240	270

27.3. Deferred revenue

	<i>31 December 2018</i>	<i>31 December 2017</i>
Accrued expense from:		
- unused holiday leaves	23,002	19,631
- audit of financial statements	135	0
- other	390	952
Deferred income from:		
- government grants	611	789
Total	24,138	21,372
- current	23,832	20,824
- non-current	306	548

28. Notes to the consolidated statement of cash flows

The causes of the differences between the changes resulting from the consolidated statement of financial position and the changes resulting from the consolidated statement of cash flows are presented in the tables below:

	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
Movement in receivables resulting from the consolidated statement of financial position	15,880	(4,326)
Movement in receivables on the sale of fixed assets	(390)	(1,171)
Movement in state budget receivables	(41,216)	(11,274)
Movement in receivables in the consolidated statement of cash flows	(25,726)	(16,771)

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	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
Movement in liabilities resulting from the consolidated statement of financial position	523,277	372,187
Movement in loans and borrowings	(162,136)	(15,766)
Movement in finance lease liabilities	15,796	(9,347)
Movement in investment settlements	(111,698)	3,063
Movement in settlements regarding issue of debt securities	-	(100,000)
Movement in income tax liabilities	(46,275)	(10,461)
Movement in liabilities in the consolidated statement of cash flows	218,964	239,676

	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
Movement in provisions in the consolidated statement of financial position	2,938	(7,429)
Movement in deferred tax liabilities	(2,428)	2,003
Movement in provisions in the consolidated statement of cash flows	510	(5,426)

In 2017 cash flow from operating activities was adjusted for the costs of the incentive program totaling PLN 7,500 thousand.

29. Investment liabilities

In the presented reporting period, liabilities on account of purchases of property, plant and equipment included purchases related to the further expansion of the Dino Group store network and expansion of warehouse space as well as the purchases related to store and warehouse fit-outs. As at 31 December 2018, they amounted to PLN 335,411 thousand (as at 31 December 2017: PLN 174,415 thousand).

30. Contingent liabilities

As at 31 December 2018 and 31 December 2017 the Group did not have any material contingent liabilities.

30.1. Litigation

As at 31 December 2018 and 31 December 2017 the Group was a party to several legal actions which, in the Management Board's opinion, did not cause any major claims.

30.2. Tax settlements

Tax settlements and other areas of activity subject to regulation (e.g. customs or foreign currency related issues) may be subject to inspection by administrative bodies authorized to impose high penalties and fines. Lack of references to established laws in Poland results in unclarity and inconsistencies in the prevailing regulations. Frequent differences of opinions as to legal interpretation of the tax regulations, both within the state bodies, and between the state bodies and enterprises, give rise to areas of uncertainty and conflicts. Therefore, the tax risk in Poland is much higher than usually observed in the countries with better developed tax systems.

Tax settlements may be subject to inspection for a period of five years, starting from the end of the year of the tax payment. As a result of such inspections, the Group's tax settlements may be increased by additional tax liabilities. In the Management Board's opinion, as at 31 December 2018 and 31 December 2017, there were no grounds to recognize additional provisions for identified and measurable tax risk.

31. Information on related parties

The tables below present the total amounts of transactions concluded with related parties for the reporting periods subject to these consolidated financial statements:

<i>Related party</i>		<i>Sale to related parties</i>	<i>Purchases from related parties</i>	<i>Receivables from related parties</i>	<i>Liabilities to related parties</i>			
Key managers (Management Board members) of the Group								
	<i>2018</i>		1	-	-			-
	<i>2017</i>		1	-	-			-
Supervisory Board								
	<i>2018</i>		-	-	-			-
	<i>2017</i>		-	-	-			-
		<i>Sale to related parties</i>	<i>Purchases from related parties</i>	<i>Receivables from related parties</i>	<i>Liabilities to related parties</i>	<i>Loans granted</i>	<i>Bonds</i>	<i>Financial expenses - interest</i>
<i>Parties related through the majority owner</i>								
<i>Zakłady Mięsne "Biernacki" Tomasz Biernacki</i>								
	<i>2018</i>	22	493	5	97	-	-	-
	<i>2017</i>	3	531	8	105	-	-	-
<i>BT Development BT Kapitał sp. z o.o. sp.k.</i>								
	<i>2018</i>	34	4,529	5	486	-	-	-
	<i>2017</i>	37	4,346	2	840	-	-	-
<i>BT Nieruchomości sp. z o.o.</i>								
	<i>2018</i>	1	406	1	57	-	-	-
	<i>2017</i>	-	46	-	82	-	-	-
<i>BT Kapitał sp. z o.o.</i>								
	<i>2018</i>	30	-	-	-	-	2,010	-
	<i>2017</i>	-	-	-	-	-	2,008	-
<i>Inwestycje BT Kapitał sp. z o.o. SKA</i>								
	<i>2018</i>	-	-	-	-	-	-	-
	<i>2017</i>	-	-	1	-	-	-	-
<i>Krot Invest KR Inżynieria sp. z o.o. SKA</i>								
	<i>2018</i>	882	273,730	201	89,836	-	-	-
	<i>2017</i>	631	201,031	69	44,339	-	-	-
<i>Krot Invest 2 KR Inżynieria sp. z o.o. sp.k.</i>								
	<i>2018</i>	7	17,674	6	3,733	-	-	-
	<i>2017</i>	3	11,498	-	2,159	-	-	-
<i>Zielony Rynek 1 BT Kapitał sp. z o.o. sp.k.</i>								
	<i>2018</i>	24	760	12	64	-	-	-
	<i>2017</i>	6	466	3	125	-	-	-
<i>Zielony Rynek 2 BT Kapitał sp. z o.o. sp.k.</i>								
	<i>2018</i>	15	562	4	124	-	-	-
	<i>2017</i>	8	454	3	90	-	-	-
<i>Zielony Rynek 3 BT Kapitał sp. z o.o. sp.k.</i>								
	<i>2018</i>	9	1,707	1	178	-	-	-
	<i>2017</i>	12	1,982	8	395	-	-	-
<i>Zielony Rynek 4 BT Kapitał sp. z o.o. sp.k.</i>								

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	2018	24	1,629	2	214	-	-	-
	2017	3,651	1,397	39	305	-	-	-
<i>Zielony Rynek 6 BT Kapital sp. z o.o. sp.k.</i>								
	2018	4	1,085	33	988	-	-	-
	2017	2,183	2,965	15	818	-	-	-
<i>Mleczarnia Naramowice sp. z o.o.</i>								
	2018	-	-	-	-	-	-	-
	2017	27	4,412	-	-	-	-	-
<i>Parties related through key personnel</i>								
<i>Agrofirma Spółdzielcza</i>								
	2018	24	183	-	4	-	-	-
	2017	5	-	-	4	-	-	-
<i>TBE sp. z o.o.</i>								
	2018	5	862	1	66	-	-	-
	2017	5	795	1	75	-	-	-

31.1. Terms of related party transactions

The terms of the transactions concluded by the Group with other related entities in the year ended 31 December 2018 and as at 31 December 2017 were concluded on an arm's length basis.

31.2. Loans to Management Board members

As at 31 December 2018 and 31 December 2017 the Group did not grant any loans to Management Board members.

31.3. Other transactions with participation of Management Board members

As at 31 December 2018 and 31 December 2017 there no transactions with participation of Management Board members than those listed in these consolidated financial statements.

31.4. Remuneration for the Group's senior management

	<i>1 January 2018 – 31 December 2018</i>	<i>1 January 2017 – 31 December 2017</i>
<i>Parent company's Management Board</i>		
Short-term employee benefits (salaries)	1,812	1,562
<i>Parent company's Supervisory Board</i>		
Short-term employee benefits (salaries)	405	532
Total	2,217	2,094

32. Information concerning the fee charged by the statutory auditor or the entity authorized to audit the financial statements

The table below presents the fee charged by the entity authorized to audit the financial statements paid or due for the year ended 31 December 2018 and 31 December 2017 split by the types of services:

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<i>Type of services</i>	1 January 2018 – 31 December 2018	1 January 2017 – 31 December 2017
Mandatory audit of financial statements	332	331
Review of the interim financial statements	71	71
Other services	-	343
Tax advisory services	-	-
Total	403	745

* Refers to Ernst & Young Audyt Polska spółka z ograniczoną odpowiedzialnością sp. k.

** Other services concern audit services related to the verification of data contained in the prospectus before the initial public offering.

33. Objectives and principles of managing financial risk

The main financial instruments used by the Group include bank loans, bond issue, finance lease and hire-purchase agreements, cash and short-term deposits. The main objective of these instruments is to raise funding for Group's activities. The Group also holds various other financial instruments, such as trade receivables and payables, which arise directly from its activities.

The rule followed by the Group currently and throughout the whole period covered by the consolidated financial statements is to refrain from dealing in financial instruments.

The main types of risk arising from the Group's financial instruments include interest rate risk, liquidity risk, FX risk and credit risk. The parent company's Management Board verifies and agrees the principles of managing each type of risk – these principles are discussed briefly below.

33.1. Interest rate risk

The Group's exposure to the risk arising from changes in interest rates refers primarily to non-current financial liabilities. The Company does not hedge its investments and liabilities using derivative financial instruments.

Interest rate risk - sensitivity to changes

The table below presents sensitivity of the profit (loss) before tax to the reasonably possible changes in interest rates, assuming that the other factors do not change (in connection with floating interest rate liabilities). The impact on the Group's equity or total comprehensive income is not presented.

	<i>Increase/decrease by percentage points</i>	<i>Impact on profit or loss before tax</i>
Year ended 31 December 2018		
PLN	+1	(8,453)
PLN	- 1	8,453
	<i>Increase / decrease by percentage points</i>	<i>Impact on profit or loss before tax</i>
Year ended 31 December 2017		
PLN	+ 1	(6,892)
PLN	- 1	6,892

33.2. Credit risk

Transactions effected by the Group are settled mainly in cash. Credit risk pertains to one franchisee, with whom the Group has been cooperating for many years, and supplier marketing support transactions. Since marketing support services pertain to suppliers who are at the same time the Group's buyers, the credit risk is insignificant.

33.3. Liquidity risk

The Group monitors the liquidity risk using a periodic liquidity planning tool. The tool takes into account the maturities of both investments and financial assets (e.g. the amount of receivables, other financial assets) and projected cash flows from operating activities.

The Group aims to maintain a balance between continuity and flexibility of financing by using different financing sources, such as overdrafts, bank loans, other loans, bond issues and finance leases.

Dino Group's EBITDA was PLN 541,060 thousand in 2018 and PLN 401,386 thousand in 2017. The Dino Group defines EBITDA as operating profit plus depreciation and amortization and adjusted by non-recurring costs related to the initial public offering of the Dino Polska shares conducted in late March/early April 2017.

Non-recurring costs totaled PLN 12,272 thousand in 2017. These costs included: costs of preparation and conduct of the offering, costs of consulting and preparation of the prospectus, costs of promotion of the offering and costs under the incentive program for the management staff.

The tables below present the Group's financial liabilities as at 31 December 2018 and as at 31 December 2017, by maturity date, based on contractual undiscounted payments.

31 December 2018	<i>On demand</i>	<i>Up to 1 year</i>	<i>From 1 year to 5 years</i>	<i>More than 5 years</i>	<i>Total</i>
Interest-bearing loans and borrowings	-	121,890	469,442	88,592	679,924
Outstanding securities	-	654	99,829	-	100,483
Other liabilities (finance lease)	-	47,918	69,941	-	117,859
Trade and other payables	-	1,095,039	-	-	1,095,039
	-	1,265,501	639,212	88,592	1,993,305

31 December 2017	<i>On demand</i>	<i>Up to 1 year</i>	<i>From 1 year to 5 years</i>	<i>More than 5 years</i>	<i>Total</i>
Interest-bearing loans and borrowings	-	87,260	356,600	58,375	502,235
Outstanding securities	-	654	99,749	-	100,403
Other liabilities (finance lease)	-	47,418	88,321	-	135,739
Trade and other payables	-	765,570	-	-	765,570
	-	900,902	544,670	58,375	1,503,947

34. Financial instruments

34.1. Fair value of individual classes of financial instruments

In the Group's opinion, the fair value of cash, short-term deposits, trade receivables, trade payables, bank loans, other loans, bonds and finance lease liabilities does not deviate from carrying amounts.

	<i>Carrying amount</i>
	<i>31 December 2018 31 December 2017</i>

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Debt instruments measured at amortized cost

Trade receivables	22,111	37,991
Total	22,111	37,991

Cash and cash equivalents	285,361	202,626
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Carrying amount

31 December 2018 31 December 2017

Non-current financial liabilities – carried at amortized cost

Interest-bearing loans and borrowings	518,240	386,418
Issue of debt securities	99,829	99,749
Finance lease liabilities	67,088	84,172
Total	685,157	570,339

Current financial liabilities – carried at amortized cost

Interest-bearing loans and borrowings	103,837	73,523
Issue of debt securities	654	654
Finance lease liabilities	44,839	43,551
Trade payables	867,342	663,528
Total	1,016,672	781,256

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34.2. Revenue, expense and profit and loss items captured in the statement of profit or loss by financial instrument category

Year ended 31 December 2018

	<i>Interest income / (expense)</i>	<i>Gains (losses) arising from changes in foreign currency exchange rates</i>	<i>Reversal / (recognition) of impairment losses</i>	<i>Valuation gains / (losses)</i>	<i>Profit / (loss) on sales of financial instruments</i>	<i>Other</i>	<i>Total</i>
<i>Financial assets</i>							
Trade receivables	27	-	51	-	-	-	78
Cash and cash equivalents	320	-	-	-	-	-	320
Total	347	-	51	-	-	-	398

	<i>Interest income / (expense)</i>	<i>Gains (losses) arising from changes in foreign currency exchange rates</i>	<i>Reversal / (recognition) of impairment losses</i>	<i>Valuation gains / (losses)</i>	<i>Profit / (loss) on sales of financial instruments</i>	<i>Other</i>	<i>Total</i>
<i>Financial liabilities</i>							
Interest-bearing loans and borrowings	(19,644)	-	-	-	-	-	(19,644)
Liabilities under financial lease agreements and hire-purchase agreements	(3,873)	-	-	-	-	-	(3,873)
Trade payables	(18,331)	(14)	-	-	-	-	(18,345)
Other financial liabilities	(3,509)	-	-	-	-	-	(3,509)
Total	(45,357)	(14)	-	-	-	-	(45,371)

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2018
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

Year ended 31 December 2017

	<i>Interest income / (expense)</i>	<i>Gains (losses) arising from changes in foreign currency exchange rates</i>	<i>Reversal / (recognition) of impairment losses</i>	<i>Valuation gains / (losses)</i>	<i>Profit / (loss) on sales of financial instruments</i>	<i>Other</i>	<i>Total</i>
<i>Financial assets</i>							
Trade receivables	374	144	137	-	-	-	655
Cash and cash equivalents	122	-	-	-	-	-	122
Total	496	144	137	-	-	-	777
	<i>Interest income / (expense)</i>	<i>Gains (losses) arising from changes in foreign currency exchange rates</i>	<i>Reversal / (recognition) of impairment losses</i>	<i>Valuation gains / (losses)</i>	<i>Profit / (loss) on sales of financial instruments</i>	<i>Other</i>	<i>Total</i>
<i>Financial liabilities</i>							
Interest-bearing loans and borrowings	(16,401)	-	-	-	-	-	(16,401)
Liabilities under financial lease agreements and hire-purchase agreements	(4,870)	-	-	-	-	-	(4,870)
Trade payables	(14,541)	-	-	-	-	-	(14,541)
Other financial liabilities	(2,069)	-	-	-	-	-	(2,069)
Total	(37,881)	-	-	-	-	-	(37,881)

34.3. Interest rate risk

The table below presents the carrying amount of the Group's financial instruments exposed to interest rate risk by age category

31 December 2018	<i>< 1 year</i>	<i>1-3 years</i>	<i>3-5 years</i>	<i>> 5 years</i>	<i>Total</i>
Finance lease liabilities	44,839	59,165	7,923	-	111,927
Bank loans and borrowings	104,127	238,932	193,837	86,203	623,099
Outstanding securities	3,020	102,378	-	-	105,398
31 December 2017	<i>< 1 year</i>	<i>1-3 years</i>	<i>3-5 years</i>	<i>> 5 years</i>	<i>Total</i>
Finance lease liabilities	43,551	69,408	14,764	-	127,723
Bank loans and borrowings	73,782	176,291	154,463	56,281	460,817
Outstanding securities	3,030	105,406	-	-	108,436

Finance lease liabilities and bank loans bear interest at variable interest rate. The interest rate on variable interest rate financial instruments is updated in periods shorter than one year. The Group's other financial instruments which are not presented in the tables above do not bear interest and hence are not subject to interest rate risk.

35. Capital management

The main objective of the Group's capital management is to maintain a good credit rating and safe capital ratios which will support the Group's operating activities and increase the shareholder value.

The Group manages the capital structure and introduces adjustments thereto as a result of changes in the economic conditions. To maintain or adjust the capital structure, the Group may change the dividend payout to shareholders, return the capital to shareholder or issue new bonds. In the years ended 31 December 2018 and 31 December 2017 the Group did not make any changes to the objectives, rules and processes in place in this area.

The Group monitors the level of capital using the leverage ratio, calculated as the ratio of net financial and trade liabilities to the sum of capital plus net financial and trade liabilities. The net financial and trade liabilities include interest-bearing loans and borrowings, bonds, trade payables and other payables, minus cash and cash equivalents.

	<i>31 December 2018</i>	<i>31 December 2017</i>
Interest-bearing loans and borrowings, outstanding securities and finance lease liabilities	834,487	688,067
Trade and other payables	1,142,174	811,592
Minus cash and cash equivalents	(285,361)	(202,626)
Net financial and trade liabilities	1,691,300	1,297,033
Total equity	1,211,873	904,493
Equity and net financial and trade liabilities	2,903,173	2,201,526
Leverage ratio	58%	59%

36. Employment structure

The headcount in the Group in the years ended 31 December 2018 and 31 December 2017 was as follows:

	<i>Year ended</i> 31 December 2018	<i>Year ended</i> 31 December 2017
Parent Company's Management Board	2	2
White-collar employees	2,252	1,618
Blue-collar employees	14,276	11,509
Total	16,530	13,129

37. Events after the reporting period

On 11 February 2019 two investment loan agreements were executed ("Loans"): i) between the Company and Powszechna Kasa Oszczędności Bank Polski Spółka Akcyjna with its registered office in Warsaw, ul. Puławska 15 ("PKO BP SA") for an amount of PLN 80 million and ii) between Dino Południe Sp. z o.o., a Company subsidiary and PKO BP SA for an amount of PLN 70 million ("Agreements"). The total value of the Loans is PLN 150 million. These Agreements have been signed to finance the ongoing network rollout of stores run by the Company under the Dino brand and its logistical base. The loans were extended in the Polish currency for a period from 11 February 2019 to 11 August 2026. The interest on the Loans will be set using at a floating interest rate equal to the WIBOR 1M reference rate plus PKO BP SA's margin. The collateral for the Loans is as follows: i) contractual mortgages up to PLN 225 million on real estate owned by the Company and Dino Południe Sp. z o.o., developed with the Company's stores and warehouses; ii) blank promissory notes issued by the borrowers along with promissory note declarations; iii) transfer of cash accounts receivable from insurance agreements for the real estate forming the collateral; and iv) in respect of the agreement signed by Dino Południe Sp. z o.o., a surety under civil law issued by the Company.

In the opinion of the Management Board, there were no other material events after the balance sheet date requiring disclosure in the consolidated financial statements.